C.Shekleton notes for Risk and Estate Planning

Reference notes and worked examples

0. How an Estate Works — The Big Picture

What is a "Deceased Estate"?

When someone dies in South Africa, all their assets and liabilities come together to form a legal entity called a **deceased estate**. This estate is a separate legal person in the eyes of the law — it can sue, be sued, own property, and owe debts. The estate exists from the moment of death until it is fully wound up (usually 6 months to 3 years later). The entire process is regulated by the **Administration of Estates Act 66 of 1965** and supervised by the **Master of the High Court**.

The 7-Step Process of Winding Up an Estate

1. **Death & reporting:** The death is reported to the Master of the High Court within **14 days**. Required documents include the Death Notice (Form J294), death certificate, original will (if any), inventory (Form J243), Next of Kin Affidavit (Form J192), and Acceptance of Trust forms (Form J155).
2. **Executor appointed:** The Master issues **Letters of Executorship** (for estates over R250,000) or **Letters of Authority** (for estates under R250,000 — the simpler "Section 18(3)" process). The executor is typically named in the will; otherwise nominated by heirs.
3. **Gather & value:** Executor identifies, collects, and values all assets at market value at date of death. Advertises for creditors in the Government Gazette and a local newspaper (30 days to lodge claims).
4. **Pay debts, taxes & costs:** Funeral costs, debts, CGT (on death), income tax (to date of death), executor's fees, Master's fees, and estate duty are all settled from estate funds.
5. **Liquidation & Distribution Account (L&D):** The executor drafts the L&D account detailing all assets, liabilities, costs, and proposed distributions. This is lodged with the Master, who has about 2 months to examine it and raise any queries.
6. **Public advertisement:** The L&D account is advertised to lie open for public inspection for 21 days at the Master's office and the relevant Magistrate's court.
7. **Distribution & discharge:** Once approved and objections resolved, the executor distributes remaining assets to heirs per the will or intestate succession. The estate is then closed.

Key Players in an Estate

ROLE	WHAT THEY DO
Deceased / Testator	The person who died. "Testator" is used when they left a valid will.
Executor	The person appointed by the Master to manage the estate. Nominated in the will or by heirs. Takes legal control of assets, settles debts, pays taxes, distributes to heirs.
Master of the High Court	State official who supervises estate administration. Issues Letters of Executorship/Authority, approves L&D account, resolves disputes. Falls under the Dept of Justice & Constitutional Development.
Heir	Person who inherits under a will or intestate succession. Typically receives a share of the residue or a specific asset.
Legatee	Person who receives a specific bequest (legacy) under a will — e.g. "R100,000 to my nephew" or "my watch to my brother". A legatee has first claim, before heirs to residue.
Beneficiary	General term for anyone who benefits. Also used specifically for nominated recipients on insurance policies, retirement funds, or trust distributions.
Trustee	Person managing a trust. Has fiduciary duty to administer trust property for the benefit of trust beneficiaries.
SARS	Collects income tax to date of death, CGT on death, estate duty, and donations tax. The estate must be tax-compliant before it can close.
Conveyancer	Attorney who transfers immovable property from the deceased estate to heirs (or to a buyer if sold).

Why Estate Planning Matters

Without proper planning, an estate can face serious problems:

- **No will (dying intestate):** Your assets are distributed per the Intestate Succession Act 81 of 1987 — which may not match your wishes (e.g. a life partner you aren't married to may get nothing).
- **Liquidity shortfall:** Estate owes taxes & costs but has no cash — family assets (like the home or business) may have to be sold at fire-sale prices.
- **Estate duty exposure:** Without structuring (trusts, insurance, spouse bequests), up to 25% of large estates can be lost to estate duty.
- **Contested claims:** A surviving spouse left out of a will may launch a maintenance claim, delaying distribution to other heirs.
- **Business disruption:** Without a buy-and-sell agreement, a business can fail when a shareholder dies.

The Four Pillars of This Module

Everything in this study guide fits into four broad areas:

1. **Technical foundations:** Marital regimes, wills, intestate succession, trusts — the legal framework within which estates operate.
2. **Tax on death:** Estate duty, CGT on death, income tax to date of death — the tax consequences of dying.
3. **Risk management tools:** Life insurance, buy-and-sell agreements, retirement funds — the products used to address risks.
4. **Analysis & planning:** Liquidity analysis, capital needs analysis — the calculations that tie everything together and identify shortfalls.

> **Summary:** When you die, the law treats all your stuff (and your debts) as one bundle called your "estate". Someone (the executor) is put in charge of sorting it out — paying what you owe, paying taxes, and then giving what's left to the people named in your will (or, if you didn't have one, to whoever the law says). Estate planning is about making sure this process is smooth, tax-efficient, and matches what you actually want to happen.

Quick summary — The Whole Module in 10 Minutes

Each topic in this guide explained in one short paragraph, no jargon. If you only had 10 minutes to understand the whole module, read this.

Marital Regimes

When you get married in South Africa you're picking one of three "systems" for how your stuff will be shared. **In community of property** means everything you each own gets combined into one pot — great for sharing, bad if one of you is financially reckless. **Out of community, no accrual** means you each keep your own stuff — great for keeping things separate, bad if one spouse gave up a career for the family. **Out of community with accrual** (the most common choice today) keeps you separate during the marriage but shares the *growth* when the marriage ends. Default is COP if you didn't sign an ANC (antenuptial contract) before the wedding.

Estate Duty

When you die, South Africa charges a tax on your "estate" (everything you owned). You get the first **R3.5 million free** (the "abatement"). Anything above that is taxed at 20% (up to R30M) or 25% (above R30M). But here's the trick: anything you leave to your spouse is **completely exempt** (s4(q) deduction) — you can leave a R100M estate to your wife and pay zero estate duty. Also, your unused R3.5M rolls over to her, so when SHE dies she has R7M of abatement. This is why most estate planning tries to delay estate duty to the second death.

CGT on Death

The tax man treats your death as if you "sold" everything at market value — even if nothing was actually sold. This triggers capital gains tax on the growth since you bought each asset. BUT if you leave things to your spouse, she "takes over" your original purchase price (no tax yet — just deferred). For anything going to kids, friends, etc., your estate must pay the CGT before distributing. The annual exclusion in the year you die is R440,000 (much bigger than the R50,000 you get while alive) and your primary residence is shielded up to R3 million of gain.

Life Insurance in Estate Planning

Most people's estates are "asset rich but cash poor" — you own a house, shares, and a business, but you don't have a million rand in the bank. When you die, the estate owes taxes and fees immediately. Without cash, the executor may have to sell the family home to pay SARS. Life insurance is the answer — it pays out cash quickly. But who you name as the beneficiary matters a LOT. Naming your **spouse** is usually the best: the payout avoids executor's fees (saving 3.99%), doesn't count in the accrual, and qualifies for the s4(q)

deduction. Naming your **estate** means the money is available to pay estate costs directly — but you give up 3.99% to executor's fees.

Trusts

A trust is a legal "box" that holds assets for someone else's benefit. Three roles: the **founder** (who sets it up and puts assets in), the **trustees** (who manage the assets — like a board of directors), and the **beneficiaries** (who benefit from the trust). Two main types: **Inter vivos trusts** (set up while you're alive — used to shift growth out of your estate and protect assets from creditors) and **testamentary trusts** (set up in your will — typically used to hold assets for minor children until they're old enough). Downside: retained income in a trust is taxed at a flat 45%, and kept capital gains at 36% effective — brutal. That's why trustees usually distribute income/gains to beneficiaries who are in lower tax brackets.

Intestate Succession

If you die without a valid will, the Intestate Succession Act decides who inherits. If you have a spouse but no kids, spouse gets everything. If you have kids but no spouse, kids share equally. If you have both, spouse gets the greater of R250,000 or a "child's share", and kids share the rest. If neither, your parents inherit. Since 2021 (*Bwanya* case), permanent life partners are also now covered — but informal dating partners are NOT. This is why having a will is one of the most basic adult financial tasks.

Maintenance of Surviving Spouse

If you die and leave a spouse who genuinely can't support themselves (e.g. stay-at-home partner), the Maintenance of Surviving Spouses Act lets them claim "reasonable maintenance" from your estate — even if your will left them nothing. The court looks at the estate's size, the spouse's own means, and their standard of living during the marriage. Same priority as a dependent child's claim. Since 2021 this applies to permanent life partners too.

Usufruct & Bare Dominium

A **usufruct** is the right to USE property without owning it — like being given the keys to a holiday home for life. **Bare dominium** is owning property you can't use — you hold the title deed but can't live there. Classic estate planning: a husband dies and leaves his wife a usufruct over the family home (she lives there for life), with his children getting the bare dominium (they own it on paper). When she eventually dies, the children automatically become full owners. This lets the husband provide for his wife AND ultimately transfer the home to his children, without a second estate duty event.

Liquidity Analysis

Every estate must pay bills: funeral, debts, taxes, executor's fees. Liquidity analysis simply asks: does the estate have enough **cash** (or near-cash) to pay these without having to sell

assets in a hurry? If yes — great. If no — you have a "liquidity shortfall" and need to plan for it, usually with life insurance. This is often where clients find out their estate plan is broken.

Retirement Funds on Death

Retirement fund benefits (pension, provident, RA, preservation) are treated completely separately from your estate. They're not subject to estate duty, not subject to executor's fees, not in the accrual. They sit in their own "bubble" and pass directly to your nominated beneficiary (or as the trustees decide under s37C). This makes retirement savings one of the most tax-efficient ways to pass wealth on death. Catch: withdrawals are taxed at the death lump sum tax table (first R550,000 tax-free).

Buy-and-Sell Agreements

If you own a business with partners and you die, there's a problem: your heirs inherit your shares (they want cash, not shares in a business they don't know how to run), and your partners are now in business with your widow or kids. A buy-and-sell agreement solves this: each partner takes out a life policy on the others' lives. When one dies, the survivors get insurance payouts and use them to buy the deceased's shares from the estate at a pre-agreed price. Everyone wins: the family gets cash, the business continues smoothly, and if structured properly (partners own the policies, not the deceased), the insurance proceeds are NOT included in the deceased's estate for estate duty.

The Mental Model to Keep in Mind

> **When you die, three "taxes" can be triggered:**
>
> 1. **Income tax** on any income earned up to your date of death (final return).
> 2. **CGT** on the "deemed disposal" of all your assets at market value (s9HA).
> 3. **Estate duty** on your net estate minus the R3.5M abatement.
>
> **And three "costs":**
>
> 1. **Executor's fees** (3.99% including VAT).
> 2. **Master's fees** (up to R7,000).
> 3. **Debts & funeral** (whatever was outstanding).
>
> **The estate plan's job** is to minimize these (via spouse bequests, trusts, retirement structuring, insurance) and make sure there's enough cash to pay them without fire-selling assets.

Glossary of Key Terms

Quick-reference definitions of jargon used throughout this guide. Bookmark this section.

Estate & Succession Terms

TERM	MEANING
Abatement	Amount (R3.5M per person) deducted from the net estate before estate duty is calculated. Set by s4A Estate Duty Act.
Accrual	Growth in the net value of a spouse's estate during the marriage. Under the accrual system, the spouse with smaller growth can claim half the difference on dissolution.
Adiation	Accepting a bequest under a will. Contrast with *repudiation* (refusing it).
Antenuptial Contract (ANC)	Contract signed BEFORE marriage that sets out the matrimonial property regime (usually OCP with or without accrual). Must be registered within 3 months.
Bare dominium (nuda proprietas)	Ownership of property stripped of the right to use it — i.e. ownership minus the usufruct.
Base cost	Original purchase price (plus allowable costs) of an asset, used to calculate capital gain on disposal.
Bequest	Gift of property made in a will. A "specific bequest" names a particular asset; a "residuary bequest" gives what's left after specific bequests.
Cession	Transfer of rights (e.g. ceding an insurance policy to a bank as security for a loan).
Codicil	Formal amendment to an existing will, signed with the same formalities as the will itself.
Cohabitation / Life partnership	Unmarried couple living together. Post-*Bwanya* 2021, permanent life partners now have succession and maintenance rights.
Deemed property	Assets not actually owned by the deceased but included in their estate for estate duty purposes under s3(3) Estate Duty Act (e.g. life insurance proceeds).
Deemed disposal	When the tax law treats something as if it were sold, even though no actual sale occurred (e.g. on death under s9HA).
Donatio mortis causa	Gift made "in contemplation of death" — becomes effective on death. Treated as deemed property.

TERM	MEANING
Dutiable estate	Net value of estate MINUS the R3.5M abatement. This is the amount estate duty is calculated on.
Fideicommissum	Where property is left to person A (fiduciary) with instruction that on a certain event (often A's death) it passes to person B (fideicommissary).
Inter vivos	"Between the living" — i.e. during lifetime. An inter vivos trust is set up during the founder's lifetime.
Intestate	Dying without a valid will. Distribution follows the Intestate Succession Act 81 of 1987.
Legatee	Recipient of a specific bequest (legacy) under a will.
Liquidation & Distribution (L&D) Account	Detailed account submitted by executor to the Master showing all assets, liabilities, administration costs, and proposed distributions.
Marital regime	The legal system governing property during marriage: COP, OCP no accrual, or OCP with accrual.
Massing	Two or more people (typically spouses) combine their estates in a joint will, giving the survivor(s) a limited interest in the whole.
Net value of estate	Total property PLUS deemed property MINUS deductions (funeral, debts, admin costs, accrual claim, s4(q) spouse deduction, etc.).
Per stirpes	"By branch" — when a beneficiary predeceases, their share passes to their descendants who step into their place.
Postnuptial contract	Contract signed AFTER marriage to change the matrimonial property regime (requires court order).
Residue	What is left of the estate after all specific bequests, debts, and costs are paid. Residuary heirs share the residue.
Testator / Testatrix	A person (male / female) who makes a valid will.
Total property	Property (s3(2)) PLUS deemed property (s3(3)). Also commonly called "gross estate".
Usufruct	Right to use and enjoy property (including income/fruits) without owning it.

Tax Terms

TERM	MEANING
Capital gain	Profit on disposal of an asset = proceeds (or market value) minus base cost.

TERM	MEANING
CGT (Capital Gains Tax)	Not a separate tax — an inclusion rate (40% for individuals; 80% for companies/trusts) of the gain is added to taxable income and taxed at the normal rate.
Dutiable amount	Same as "dutiable estate". The amount on which estate duty is charged.
Inclusion rate	Percentage of a capital gain that is "included" in taxable income. 40% for individuals, 80% for ordinary trusts/companies.
Marginal rate	The tax rate that applies to the NEXT rand of income earned. Not your average rate. Current SA max marginal rate is 45%.
Primary residence exclusion	First R3,000,000 of gain on disposal of a primary residence is excluded from CGT (2026/27).
Retirement fund lump sum	Cash withdrawal from a retirement fund. Taxed per special lump sum tax tables.
Rollover relief	Tax not triggered on a transfer; deferred to a later event. E.g. assets bequeathed to surviving spouse roll over at base cost.

Key Statutes Referenced

- **Estate Duty Act 45 of 1955** — sets estate duty rules, rates, and abatement.
- **Income Tax Act 58 of 1962** — includes CGT (Eighth Schedule), s7 anti-avoidance, s7C, s9HA (deemed disposal on death), s25B (conduit principle).
- **Administration of Estates Act 66 of 1965** — governs estate administration, executor duties, Master's fees.
- **Matrimonial Property Act 88 of 1984** — governs marital property regimes; introduced accrual system.
- **Intestate Succession Act 81 of 1987** — who inherits when there is no will.
- **Wills Act 7 of 1953** — formalities, s2B ex-spouse rule, s2C substitutions.
- **Maintenance of Surviving Spouses Act 27 of 1990** — spouse can claim reasonable maintenance.
- **Pension Funds Act 24 of 1956** — s37C trustee discretion over death benefits.
- **Trust Property Control Act 57 of 1988** — governs trust administration.
- **Long-Term Insurance Act 52 of 1998** — ss44, 45, 47, 49, 51, 54, 55, 63 govern beneficiary nominations, cessions, insolvency protection.
- **Recognition of Customary Marriages Act 120 of 1998** — recognises customary marriages; post-*Sithole* 2021, all are COP unless ANC.
- **Civil Union Act 17 of 2006** — parties are spouses for all estate-planning purposes.

Personal Risk & Life Stages

The Concept of Risk

In financial planning, **risk** is the possibility that something will happen that causes a financial loss — death, disability, dread disease, loss of income, damage to assets, liability claims, etc. Risk management is about identifying, measuring, and addressing these risks before they occur.

Six-Step Risk Management Process

1. **Identify** the risks (what could go wrong?).
2. **Measure** the risks (how likely? how big?).
3. **Select** risk treatment (avoid, reduce, retain, transfer).
4. **Implement** the plan (take out insurance, draft will, etc.).
5. **Monitor** and review.
6. **Adjust** as circumstances change.

Four Ways to Treat Risk

- **Avoid:** Don't engage in the risky activity (e.g. don't skydive).
- **Reduce:** Take steps to lower likelihood or impact (e.g. alarm system, health check-ups).
- **Retain (self-insure):** Accept the risk and pay if it happens (e.g. small excess on car insurance).
- **Transfer (insure):** Pass the financial consequences to an insurer in exchange for a premium. This is the core of most financial planning.

Six-Step Financial Planning Process

1. Establish the professional relationship (engagement letter).
2. Gather client data & define goals.
3. Analyse financial status.
4. Develop & present recommendations.
5. Implement recommendations.
6. Monitor & review.

Influence of Life Stages on Planning

STAGE	AGE	TYPICAL PRIORITIES
Stage 1	20–30	Income protection (disability), basic life cover if dependants, emergency fund, start retirement savings.

STAGE	AGE	TYPICAL PRIORITIES
Stage 2	30–40	Family forms — major need for life cover, disability, dread disease. Home loan protection. Draft a will. Start children's education fund.
Stage 3	40–50	Peak income but peak liabilities. Review cover. Estate planning, trusts, business succession (buy-and-sell).
Stage 4	50–retirement	Wind down life cover, focus on retirement, review estate plan, prepare for retirement income.
Stage 5	Post-retirement	Preservation of capital, income in retirement, medical cover, final estate plan, legacy planning.

Key Financial Ratios

```
Solvency ratio = Total Assets / Total Liabilities
   (should be > 1 — you own more than you owe)

Liquidity ratio = Liquid Assets / Monthly Expenses
   (should be 3-6 months of expenses)

Debt-service ratio = Monthly Debt Payments / Gross Income
   (should be < 36%)

Savings ratio = Savings / Gross Income
   (target: 10-20% of gross income)
```

Effective vs Nominal Interest Rate

- **Nominal rate:** The stated annual rate (e.g. 12% p.a. compounded monthly).
- **Effective rate:** The true annual rate accounting for compounding. For 12% p.a. compounded monthly: (1 + 0.12/12)^12 − 1 = **12.68%**.
- **Why it matters:** Always compare loans on effective rate. A loan at "15% nominal compounded monthly" costs more than "15.5% effective annual".

Insurance Overview (Short-Term & Long-Term)

Short-Term Insurance

Covers **assets and liabilities** — things that can be damaged, stolen, or cause you legal liability. Premiums are paid monthly/annually and cover applies for the contract period (typically 1 year). Governed by the **Short-Term Insurance Act 53 of 1998** and FSCA regulations.

Main Short-Term Products

- **Motor insurance:** Comprehensive (own damage + third party), third-party only, or third-party fire & theft.
- **Homeowners (buildings):** Required by most bond-providers. Covers damage to the structure.
- **Household contents:** Covers movables inside the home (furniture, appliances, clothing).
- **All-risks:** Portable/valuable items — laptops, cameras, jewellery, taken outside the home.
- **Personal liability:** Protection against legal claims for damage caused to others.
- **Business / commercial:** Professional indemnity, public liability, business interruption.

Key Short-Term Insurance Concepts

- **Indemnity principle:** Insurance puts you back where you were — no profit from a loss.
- **Average:** If you're under-insured, the insurer pays proportionally. E.g. R500K cover on a R1M house = insurer pays only 50% of any partial loss.
- **Excess:** The portion of each claim you pay yourself. Higher excess = lower premium.
- **Utmost good faith (*uberrimae fidei*):** You must disclose all material information. Non-disclosure can void the policy.
- **Insurable interest:** You can only insure something you stand to lose financially.

Long-Term Insurance

Covers **life-related events** — death, disability, dread disease, retirement. Contracts run for years or life. Governed by the **Long-Term Insurance Act 52 of 1998**.

Main Long-Term Products

PRODUCT	PURPOSE	TAX TREATMENT
Whole life / Term life	Pays lump sum on death. Term = fixed period (10/20 years); whole life = until death.	Proceeds tax-free in beneficiary's hands. Deemed property under s3(3)(a) for estate duty.
Disability cover	Lump sum OR income benefit if you become disabled.	Lump sum: tax-free. Income: taxable in recipient's hands.
Dread disease / Critical illness	Lump sum on diagnosis of specified serious illness (cancer, heart attack, stroke, etc.).	Tax-free.
Endowment policy	Savings policy with a life assured — pays at maturity or on death.	Taxed in policyholder's hands at the **individual policyholder rate** (30% income / 12% CGT effective).
Sinking fund	Pure savings policy; no life assured.	Company policyholder rate (27%).
Retirement Annuity (RA)	Retirement savings with tax benefits on contributions.	Contributions deductible up to 27.5% of income / R350,000 p.a. Not in estate (s37C).
Living annuity	Post-retirement product: invested capital with drawdowns (2.5% to 17.5% p.a.).	Drawdowns taxed as income at marginal rate.

Endowment vs Sinking Fund (Exam Comparison)

	SINKING FUND	ENDOWMENT
Life assured	None	Yes (individual)
Ancillary benefits	No	Yes (disability, dread disease riders)
Executor's fees on death	Only if no beneficiary (surrender value)	Only if no beneficiary nominated
Estate duty on death	Property at surrender value (s3(2)) — not deemed property	Deemed property (s3(3)(a)) at proceeds value
s63 LTIA insolvency protection	No	Yes (if policy 3+ years and life assured is policyholder/spouse)

Disability Cover: Own vs Reasonable Occupation

- **Own occupation:** Pays if you can't do YOUR specific job (e.g. a surgeon unable to operate). More expensive. Preferred for specialists.

- **Reasonable occupation:** Pays only if you can't do any job reasonably suited to your training/experience. Cheaper. The insurer may argue you can retrain.

Dread Disease Benefit Structures

- **Stand-alone:** Separate cover; full amount paid on qualifying diagnosis.
- **Accelerator:** Attached to life cover; reduces the life cover amount by whatever is paid on dread disease.
- **Rider benefit:** Additional benefit on a main policy; does not reduce main cover.

Key Long-Term Insurance Act Sections

- **s44:** Statutory prescribed information the insurer must give.
- **s45:** Policyholder protection rules.
- **s47:** Limitations on accepting premiums from third parties.
- **s49:** Rules on cooling-off period (31 days on most policies).
- **s51:** Minor beneficiaries — how proceeds are paid/held.
- **s54:** Assumption of rights — assignment/cession.
- **s55:** Assistance policies (R30,000 max benefit).
- **s63:** Insolvency protection (policy 3+ years, life = policyholder or spouse; assets purchased with proceeds protected for 5 years).

Policyholder Protection Rules (PPR) 2017

The PPR 2017 replaced the older rules and apply to all long-term insurance policies. Key rules:

- **Rule 7 — Advertising:** Advertisements must be clear, fair and not misleading. Specific rules on product comparisons.
- **Rule 11.5 — Replacement of policies:** When an adviser replaces one policy with another, they must complete a replacement form and show the client is not worse off. Prevents "churning" for commissions.
- **Rule 15A — Complaints handling:** Insurers must have a documented complaints process, respond within set timeframes, and escalate to the Ombudsman if unresolved.
- **Rule 21 — Intermediary services:** Requires upfront disclosure of commissions, fees, conflicts of interest.

> **Note:** The PPR is basically consumer protection for insurance. It stops shady advisers pushing you to cancel your old policy just so they can earn new commission on a replacement, forces clear disclosure of fees, and gives you a way to complain if things go wrong.

The Five-Fund Tax Approach (for endowments & sinking funds)

When you invest in an endowment or sinking fund, the **insurer** is taxed on the investment returns — not you. The insurer divides its investment pools into **five funds**, each taxed at a different rate depending on who the policyholder is:

FUND	APPLIES TO	INCOME TAX RATE	CGT INCLUSION RATE
Individual Policyholder Fund (IPF)	Individuals, deceased estates	30%	40% (eff. 12%)
Company Policyholder Fund (CPF)	Companies, non-exempt trusts	27%	80%
Corporate Fund	The insurer's shareholder funds	27%	80%
Untaxed Policyholder Fund (UPF)	Retirement funds, PBOs	0%	0%
Risk Policyholder Fund (RPF)	Pure risk policies (life, disability)	27% (on adjusted income)	N/A

Note: Why this matters for clients: When you're an individual investing in an endowment, you pay NOTHING directly to SARS on the policy's growth. The insurer pays 30% tax inside the policy. So the "tax cost" is baked in. Two takeaways:
(1) Endowments are tax-efficient for clients in the **45% marginal bracket** (because 30% inside the policy is cheaper than 45% in their own hands) but can be tax-inefficient for clients earning under R500,000 (they'd pay less than 30% directly).
(2) After 5 years, endowments can be surrendered tax-free in the client's hands because the tax was already paid inside the fund.

Capital Needs Analysis (CNA)

What is a CNA?

A **capital needs analysis** calculates how much capital (money) is needed to provide for someone's needs on a specific event — most commonly **death** of a breadwinner or **disability**. The output tells you how much life/disability insurance is required. This is the core calculation engine of financial planning.

5-Step CNA Process

1. **Identify the need:** Income replacement for spouse? Children's education? Pay off home loan? Estate liquidity?
2. **Calculate the capital required** to meet the need (Present Value of a growing annuity for income needs; face value for lump-sum needs).
3. **Identify capital available** (existing investments, life cover, retirement benefits, etc.).
4. **Calculate the shortfall** (Required – Available).
5. **Recommend** how to fund the shortfall (new life cover, additional savings, restructuring).

A/B/C/D Template

```
A = Immediate cash needs (lump sums due at death)
  Funeral costs
  Outstanding debts (home loan, credit cards)
  Estate duty, CGT, executor's fees, Master's fees
  Education fund for children (may be lump-summed)
  Emergency fund for surviving family

B = Ongoing income needs (income replacement)
  Calculate PV of growing annuity = PMT / (r − g) × [1 −
((1+g)/(1+r))^n]
  Where PMT = annual income need, r = after-tax real return, g = income
growth, n = years needed

C = Capital already available
  Existing life insurance payable to family
  Cash & investments
  Retirement fund benefits (if payable to spouse/children)
  Other income-producing assets

D = Shortfall = (A + B) − C
  This is the amount of new life cover required.
```

Real Rate of Return (Essential for Step B)

```
Real Rate = (Nominal Rate - Inflation) / (1 + Inflation)

Example: If nominal return = 10%, inflation = 6%:
Real Rate = (0.10 - 0.06) / (1 + 0.06) = 3.77%
```

Use the real rate when inflating the income need each year is built into the calculation (growing annuity).

Worked CNA Example

Scenario: A husband dies. Spouse (age 40) needs R30,000/month (R360,000 p.a.) income for 40 years. After-tax nominal return: 9%. Inflation: 6%.

Step 1 — Real rate: (0.09 – 0.06) / 1.06 = 2.83%
Step 2 — PV of 40-year annuity at 2.83%: Using a financial calculator (BEGIN mode, PMT = R360,000, i = 2.83, n = 40): PV ≈ **R8,640,000**

Add: lump sum needs (A):
Home loan settlement: R1,500,000
Education fund: R800,000
Estate costs (duty, CGT, fees): R400,000
Total A = R2,700,000

Deduct: capital available (C):
Existing life cover payable to spouse: R3,000,000
Investments: R1,500,000
Total C = R4,500,000

Shortfall (D) = (A + B) – C = (R2.7M + R8.64M) – R4.5M = R6,840,000
Recommendation: Additional R6.84M life cover, payable to spouse as nominated beneficiary to avoid executor's fees and qualify for s4(q) deduction.

1. Marital Regimes and Their Estate Impact

> **Note:** Marriage regimes answer ONE question: "When this marriage ends (death or divorce), whose stuff is whose?" COP says "all one pot." OCP no accrual says "everything separate, always." OCP with accrual says "separate during the marriage, but share the growth at the end."

In Community of Property (COP)

Practical context: This is the **default** in South Africa — if you get married without signing an antenuptial contract (ANC) before the wedding, you are automatically married in community of property. Many couples are COP without realising the implications.

- Joint estate; all assets and liabilities shared 50/50.
- Both spouses equally liable for debts of the joint estate — even debts incurred by only one spouse.
- On death, half the joint estate belongs to surviving spouse and does NOT form part of the deceased estate.
- The deceased's half is distributed according to will or intestacy.
- **Practical impact:** The surviving spouse's half is automatically protected — creditors of the estate cannot touch it. However, the downside is that the surviving spouse is also liable for the deceased's debts during the marriage.
- **Estate planning implication:** Because only 50% of the joint estate forms the deceased estate, the estate duty exposure is automatically halved, which can be an advantage for estate duty planning.

Section 15(2)(c) — COP Spousal Consent Requirements

In a COP marriage, the Matrimonial Property Act **requires written consent** from both spouses for certain major transactions. You CANNOT act alone on:

- **Alienating (selling / donating) immovable property** from the joint estate — e.g. you can't sell the family home without your spouse's signature.
- **Mortgaging immovable property** — bond applications need both signatures.
- **Standing surety / suretyship** for another person's debts.
- **Entering credit agreements** (big loans).
- **Withdrawing from deposit accounts** held in spouse's name.
- **Alienating investments, shares, or insurance policies** that form part of joint estate (but see *Naidoo v Discovery Life* — pure risk policies are different).

> **Note:** In a COP marriage, big financial decisions need BOTH spouses' signatures. Think of it like a joint bank account where both names are on everything — one person can't move the big stuff alone. This protects one spouse from the other making reckless decisions. Third parties (like banks) have a duty to verify marital status before accepting a signature (*Marais NO v Maposa*).

Out of Community of Property (No Accrual)

Practical context: This is the most "separate" marital regime. Typically chosen when both spouses have significant assets or businesses they want to keep entirely separate, or where one spouse has significant debts/risk exposure (e.g. an entrepreneur).

- Completely separate estates; no sharing on death or divorce.
- Each spouse retains their own assets and liabilities.
- Requires an antenuptial contract (ANC) signed **before** the marriage and registered within 3 months.
- **Risk for non-earning spouse:** A stay-at-home spouse who sacrificed a career has no automatic claim to any growth in the other spouse's estate. This is why the accrual system was introduced — to address this unfairness.

Out of Community of Property WITH Accrual

Practical context: This is the **most commonly chosen** regime for couples signing an ANC. It offers the best of both worlds: independence during the marriage (separate estates, no shared liability) but fair sharing of growth on dissolution.

The accrual system shares the **growth** that occurred during the marriage. It only applies on **dissolution** (death or divorce).

```
Accrual Claim = (Larger Accrual - Smaller Accrual) / 2

Where: Accrual = Current Net Value - Commencement Value (adjusted by
CPI)
```

Commencement Values

- Declared in the ANC at date of marriage.
- Adjusted by CPI (Consumer Price Index) to date of dissolution.
- If not declared, the commencement value is **nil** (i.e. zero) — this means ALL net assets at dissolution are treated as growth during the marriage.

> **Scenario example:** John and Sarah marry with accrual. John declares a commencement value of R500,000 and Sarah declares R100,000. At John's death 20 years later, after CPI adjustment John's commencement value is R1.2M and Sarah's is R240,000. John's net estate is R8M (accrual = R8M - R1.2M = R6.8M). Sarah's net estate is R2M (accrual = R2M - R240,000 = R1.76M). Claim = (R6.8M - R1.76M) / 2 = R2.52M payable to Sarah. This R2.52M is deductible from John's estate under s4(1A) for estate duty.

Exclusions from Accrual

- Assets specifically excluded in the ANC.
- Inheritances, donations, and legacies received during the marriage (unless ANC states otherwise).
- Non-patrimonial damages (e.g. pain and suffering).
- Donations between spouses.

Accrual at DEATH vs DIVORCE

ITEM	AT DEATH	AT DIVORCE
Life insurance payable to estate	Included in accrual	Not relevant (not yet payable)
Life policy with nominated beneficiary	NOT included in accrual	Not relevant
Retirement fund benefits	NOT included (s37C Pension Funds Act)	Pension interest IS included (Divorce Act s7(7)(a))

CGT on Accrual Settlement

- **At death:** Rolls over to spouse — s9HA(2)(b) ITA.
- **At divorce:** Rolls over — Par 67, Eighth Schedule.

> **Key exam point:** The accrual claim is a deduction under s4(1A) for estate duty purposes. The spouse with the smaller accrual has a claim against the estate of the deceased.

Other Recognised Marriages & Unions

South African law recognises multiple forms of marriage and relationship beyond the standard civil marriage. Each has distinct estate planning implications.

Customary Marriages (Recognition of Customary Marriages Act 120 of 1998)

- Concluded according to the customs of a particular community (e.g. lobola negotiations, handover ceremony).
- Must be registered within 3 months (but non-registration doesn't invalidate the marriage).

- **Default regime:** In community of property, **unless** an ANC was concluded.
- **Sithole v Sithole 2021 ZACC 7:** Constitutional Court declared all customary marriages concluded before 2 December 1988 are automatically in community of property (previously they were OCP). This is retrospective — it applies to all existing customary marriages.
- **Moropane v Southon 2014 SCA:** Set out jurisdictional requirements under s3(1) RCMA for a valid customary marriage.
- **Polygamous customary marriages:** Permitted. Each wife has equal rights in estate, maintenance, succession. Estate Duty Act s4A(3) provides for abatement sharing across multiple spouses.

Civil Unions (Civil Union Act 17 of 2006)

- Applies to both same-sex and opposite-sex couples who register under the Act.
- Can be described as a "marriage" or "civil partnership".
- **Default regime:** Same as civil marriages — COP unless ANC.
- Parties regarded as **spouses** for: Matrimonial Property Act, Estate Duty Act, Income Tax Act, Intestate Succession Act, Maintenance of Surviving Spouses Act. Full spousal rights for s4(q) deduction, etc.

Religious Marriages (Muslim, Hindu)

- Religious marriages (e.g. Muslim *nikah*) were historically not fully recognised under civil law.
- **Daniels v Campbell 2003:** Widow under Muslim marriage recognised as "spouse" for Maintenance of Surviving Spouses Act.
- **Hassam v Jacobs 2009 CC:** Polygamous Muslim marriages recognised for Intestate Succession Act.
- **Moosa NO v Harneker 2017:** "Surviving spouse" in Wills Act s2C(1) includes spouse in polygamous Muslim marriage.
- Parties to a Muslim or Hindu marriage are now treated as spouses for estate duty (s4(q)) and succession purposes.

Cohabitation / Life Partnerships (Post-*Bwanya*)

- **Bwanya v Master of the High Court 2021 ZACC 51:** Landmark Constitutional Court judgment. A permanent opposite-sex life partner is now recognised as a "spouse" for the Intestate Succession Act AND the Maintenance of Surviving Spouses Act.
- **Gory v Kolver 2007 CC** and **Laubscher NO v Duplan 2016 ZACC 44** previously extended these rights to same-sex life partners.
- **Judicial Matters Amendment Act 15 of 2023** codifies the post-*Bwanya* position.
- **Important limitation:** The partnership must be "permanent". Evidence required: shared household, cohabitation period, financial interdependence, public representation as a couple.

- **Still NOT recognised for:** Matrimonial Property Act (no automatic property regime); accrual system (doesn't apply). Life partners should still consider a cohabitation agreement, wills, and nominations.

Summary Table: Marital Regimes & Key Legislation

REGIME / RELATIONSHIP	INTESTATE SUCCESSION	MAINTENANCE (MSSA)	ESTATE DUTY S4(Q)	PENSION FUNDS S37C
Civil marriage (COP / OCP)	Yes	Yes	Yes	Yes
Customary marriage	Yes	Yes	Yes	Yes
Civil union	Yes	Yes	Yes	Yes
Muslim / Hindu marriage	Yes (post-*Hassam*)	Yes (post-*Daniels*)	Yes	Yes
Permanent life partner	Yes (post-*Bwanya*)	Yes (post-*Bwanya*)	Yes (broad def. in Estate Duty Act)	Yes (dependant)

Key Case Law for Marital Property

- **E v E [2019] ZAKZPHC 40:** Commencement values in ANC are only *prima facie* proof — the actual commencement value can be proved differently in dispute. Overturned *Olivier v Olivier*.
- **M v M 2020 SCA:** On divorce, the capital in a living annuity is NOT property for accrual purposes, BUT the future annuity income stream IS valued and included.
- **Naidoo v Discovery Life 2018 SCA:** A pure risk life policy with a nominated beneficiary is not an asset of the joint estate during lifetime — s15(2)(c) spousal consent is NOT required to change the beneficiary nomination in a COP marriage.
- **Marais NO v Maposa 2020 SCA:** Concerning s15(2)(c) consent for alienation — the third party has a duty of enquiry to establish marital status before accepting a large transfer/donation.

2. Estate Duty Calculation (2026/2027)

Governing Act: Estate Duty Act 45 of 1955. The Act uses the terms "total property" (property + deemed property), "net value of estate", and "dutiable estate" — align with this terminology in exam answers.

> **Note:** Estate duty is like a "final toll" on your way out of the financial world. You add up everything you owned (plus some things treated as if you owned them, like insurance). You subtract your debts, costs, and anything left to your spouse. The first R3.5M is free. You pay 20% on the next bit, and 25% on anything crazy big (over R30M). The whole aim of estate planning is to keep the amount you pay small — usually by leaving lots to your spouse (who is fully exempt) or using trusts to shift growth out of your estate during your lifetime.

The 5-Step Estate Duty Calculation (Textbook Method)

```
Step 1: Value all property s3(2)
Step 2: Add all deemed property s3(3) = Total property
Step 3: Less allowable deductions s4 = Net value of estate
Step 4: Less s4A abatement (R3,500,000) = Dutiable estate
Step 5: Apply rate: 20% on first R30M; 25% above R30M = Estate duty
```

Step-by-Step Estate Duty Calculation (Detailed)

Step 1: Property in Estate (s3(2))

All assets owned by the deceased at date of death, valued at **market value**.

- Immovable property, investments, bank accounts, vehicles, household effects.
- Business interests, share portfolios, loan accounts.
- **COP note:** If married in community of property, only the deceased's **50% share** of the joint estate is included here.
- **Practical tip:** Loan accounts owed to the deceased (e.g. a loan to a family trust) are assets in the estate even though the cash isn't in the bank — this often catches people off guard in estate duty calculations.

Step 2: Deemed Property (s3(3))

Practical context: "Deemed property" isn't actually owned by the deceased but SARS includes it anyway. The logic is to prevent people from avoiding estate duty by structuring assets outside their estate.

- **s3(3)(a):** Domestic policy proceeds on the deceased's life (regardless of who the beneficiary is). Includes policies with nominated beneficiaries. *Even if the proceeds go*

directly to a child or spouse and never touch the estate, it is still deemed property for estate duty.

- **s3(3)(b):** *Donatio mortis causa* — a gift made "in contemplation of death" that only takes effect on death.
- **s3(3)(c):** An accrual claim in favour of the deceased (e.g. where the surviving spouse has the larger accrual and owes the deceased's estate).
- **s3(3)(d):** Property the deceased was "competent to dispose of" immediately before death — e.g. certain assets in a trust where the deceased retained effective control.
- **s3(3)(e):** Disallowed retirement fund contributions — contributions made post-1 March 2016 that were NOT deducted for income tax. *This targets voluntary, non-deductible "top-up" contributions — SARS views these as savings disguised inside a retirement fund.*
- Domestic policies on a third party's life **owned** by the deceased fall under s3(2) (property, not deemed property) — e.g. if you own a policy on your business partner's life, you own the policy as an asset.

Exclusions from s3(3)(a) — Policies NOT Deemed Property

- **s3(3)(a)(i) — ANC/Postnuptial policies:** A policy where the proceeds are payable to the surviving spouse in terms of an ANC or postnuptial contract is excluded.
- **s3(3)(a)(iA) — Buy-and-sell policies:** Excluded if ALL three requirements met: (1) policy taken out by a co-owner/partner; (2) purpose is to purchase deceased's interest; (3) deceased paid no premiums.
- **s3(3)(a)(ii) — Keyperson policies:** Excluded if ALL four requirements met: (1) not effected by or at the instance of the deceased; (2) no premium paid by the deceased; (3) no amount payable to the deceased's estate; (4) no amount payable to a relative, dependant, or family company of the deceased.

> **Premium recovery (domestic policies):** Where a domestic policy is deemed property but someone else actually paid the premiums, the deemed property amount is reduced by **(premiums paid × (1.06)^years)** — i.e. premiums compounded at 6% per year. This prevents double-counting where a third party funded the policy.

Step 3: Total Property = Property + Deemed Property

Step 4: Allowable Deductions (s4)

The Estate Duty Act s4 lists specific deductions. Key ones:

- **s4(a):** Funeral, tombstone, and deathbed expenses.
- **s4(b):** Debts owed at date of death to SA residents. *Includes outstanding income tax and CGT liability.*
- **s4(c):** Administration costs — executor's fee (3.5% + 15% VAT = 4.025% effective ; commonly rounded to 3.99%) and Master's fee.
- **s4(f):** Debts owed to non-residents.

- **s4(p):** Reduction in valuation of unlisted shares where deemed property (e.g. buy-and-sell proceeds) increased the share value. Prevents double-taxation. *Example:* A 40% shareholder dies with a R9M keyperson policy owned by the company on his life. The company receives R9M, which increases the value of his 40% shareholding by 40% × R9M = R3.6M. Without s4(p), that R3.6M would be taxed twice (once as deemed property from the policy, once as increased share value). s4(p) removes the R3.6M from the share value to prevent this double-hit.
- **s4(1A):** Accrual claim payable to surviving spouse. Deductible from the estate before applying s4(q).
- **s4(q) — Spouse deduction:** Property accruing to the surviving spouse:
  - Bequests to spouse (under will or intestate).
  - Residue going to spouse.
  - Life insurance payable to spouse (even though deemed property).
  - Note: Property must be **included** in the estate to qualify. Retirement fund benefits to a spouse do NOT get s4(q) — they aren't property anyway.
  - Disallowed where: property is onward-disposed to a third party/trust; spouse has only a limited interest (e.g. usufruct) for less than full value.

s4(q) Limitations (Figure 5.2 in textbook)

> **s4(q) deduction is REDUCED where:**
>
> - The spouse has only a limited interest (e.g. usufruct) — only the value of that limited interest is deductible, not the full property value.
> - The spouse is obliged to onward-dispose to a third party or trust whose beneficiaries are not the spouse.
> - Property passes to a testamentary trust where beneficiaries other than the spouse can benefit.
>
> **s4(q) deduction is DISALLOWED where:**
>
> - The deduction has already been allowed under another s4 provision.
> - The property represents disallowed retirement fund contributions (s3(3)(e)) — these are "fictitious" property, not real inheritance.

Step 5: Net Estate = Gross Estate - Deductions

Step 6: Abatement (s4A)

```
Abatement: R3,500,000 per person
Rolled-over abatement: If first-dying spouse's abatement was not fully
used, the balance rolls over to surviving spouse (s4A(2)).
Maximum for second-dying: R7,000,000
```

> **Why the rollover matters:** If the first-dying spouse leaves everything to the surviving spouse, the entire estate is deducted via s4(q) — the R3.5M abatement is unused because the dutiable amount is already zero. That unused R3.5M rolls to the surviving spouse, giving them up to R7M abatement on second death. This is a powerful planning tool: the first estate pays zero duty, and the second estate has double the abatement.

Step 7: Dutiable Amount = Net Estate - Abatement

Step 8: Estate Duty

```
20% on the first R30,000,000
25% on everything above R30,000,000
```

Apportionment of Estate Duty (s11)

Estate duty is generally paid from the **residue** of the estate. However, under s11 of the Estate Duty Act, if deemed property (e.g. life insurance) goes directly to a beneficiary (bypassing the residue), the estate can **recover a proportional share** of the duty from that beneficiary.

```
Apportionment formula:
Estate Duty recoverable from beneficiary = (Deemed property portion ÷
Net value of estate) × Total estate duty
```

Practical point: The will can override this — it can specify that estate duty is paid from the residue ("free from duty"), which means non-residue beneficiaries are spared. Most wills do this for simplicity.

Residency Rules (s4A + s3 of Estate Duty Act)

- **SA residents:** Estate duty on worldwide assets.
- **Non-residents:** Estate duty on SA-situs assets only (e.g. SA property, SA shares).
- Non-residents do NOT get the full R3.5M abatement — they get a reduced abatement.

Valuation for Estate Duty Purposes (s5)

- **Fair market value** at date of death (arm's length).
- **Bona fide farming property:** Valued at **70%** of market value (i.e. a 30% reduction).
- **Unlisted shares (s5(1)(f)bis):** Specific factors to prevent manipulation — always valued at market value, ignoring any buy-and-sell price if lower.
- **Usufruct on property:** Annual value = 12% of property value × life expectancy factor.
- **Limited rights ceasing on death:** Value = zero (the right dies with the holder).

Common exam trap: Life insurance payable to a nominated beneficiary is deemed property (s3(3)(a)) and included in total property, BUT if the beneficiary is the surviving spouse, it qualifies for the s4(q) deduction, effectively removing it from the dutiable estate.

3. Capital Gains Tax on Death (2026/2027)

Deemed Disposal on Death

Section 9HA of the Income Tax Act deems all assets disposed of at **market value** on date of death.

Practical context: When you die, SARS treats it as if you "sold" everything at market value on the day you died — even though nothing was actually sold. This triggers capital gains tax on the difference between what you paid (base cost) and what it's worth at death. The estate must settle this CGT bill before assets can be distributed to heirs.

> **Note:** Picture it like this — on the day you die, SARS takes a photograph of everything you own and "pretends" you just sold it all. They calculate the profit you'd have made (market value minus what you paid for it). A chunk of that profit is added to your final tax return. Your estate pays the tax out of your assets before anything goes to your heirs. The only exception: anything you leave to your spouse is "pushed forward" — no tax now, but your spouse inherits your original base cost so she pays the CGT if she ever sells or when she dies.

Key Rates and Exclusions

ITEM	AMOUNT / RATE
Annual exclusion on death	**R440,000**
Annual exclusion (alive)	R50,000
Inclusion rate (individuals)	40%
Inclusion rate (trusts, non-special)	80%
Primary residence exclusion	R3,000,000
Small business exclusion (55+)	R2,700,000 (MV ≤ R15M)

Roll-over to Surviving Spouse

- Assets inherited by or bequeathed to the surviving spouse **roll over at base cost**.
- No CGT is triggered on these assets at first death.
- The surviving spouse inherits the original base cost.

> **Key concept — deferred, not avoided:** The rollover does NOT eliminate CGT. It **defers** it to the second death (or whenever the spouse eventually disposes of the asset). The surviving spouse inherits the original base cost, so the full gain from original purchase to final disposal is taxed eventually. This is important in a scenario — leaving everything to a spouse eliminates CGT at first death but creates a potentially larger CGT bill at second death.

Non-Spouse Heirs

- CGT **is triggered** (deemed disposal at market value).
- Capital gain = Market value at death - Base cost.
- The estate is liable for the CGT; this CGT liability becomes a deduction for estate duty.
- **Practical point:** The heirs inherit the asset at its market value on date of death as their new base cost — so they are not taxed again on the same growth if they later sell.

Exclusions from CGT

- **Personal-use assets** (vehicles, furniture, household goods): excluded.
- **Retirement fund benefits:** not subject to CGT.
- **Loan bequeathed to trust:** No CGT if the loan forms property in the estate for estate duty purposes (Par 12A, Eighth Schedule).

```
CGT on Death Calculation:
1. Capital gain = MV at death - Base cost
2. Less: Annual exclusion (R440,000)
3. Taxable capital gain = Net gain x 40% (inclusion rate)
4. Tax = Taxable capital gain x marginal rate (max 45%)
5. Effective maximum rate: 40% x 45% = 18%
```

> **Primary residence exclusion (R3,000,000):** Only available to natural persons or special trust type (a). Not available to ordinary trusts. Applied before the annual exclusion.

4. Life Insurance in Estate Planning

Why Life Insurance Matters in Estate Planning

The core problem: When someone dies, the estate needs **cash immediately** — to pay executor's fees, estate duty, CGT, debts, and funeral costs. But most estates are "asset-rich, cash-poor" (e.g. property, shares, business interests). Life insurance provides instant liquidity so that heirs don't have to sell assets at fire-sale prices to settle the estate.

> **Note:** Imagine your entire net worth is a R10M house, R5M in shares, and R100K in the bank. You die. The taxman wants R2M. Where does that R2M come from? Your family can't eat the house and they can't pay SARS with shares. Someone has to sell assets — fast, often at a discount. Life insurance solves this: for a relatively small monthly premium, a large cash lump sum appears exactly when it's needed. That's why planners obsess over beneficiary nominations — it's the difference between "family gets R2M immediately, tax-efficiently" and "family loses the house to a forced sale."

The planning question is always: Who should be the beneficiary? This single decision affects executor's fees, estate duty, accrual, and how quickly the money is available.

Life Insurance Scenarios Comparison

SCENARIO	EXECUTOR'S FEES	ESTATE DUTY	S4(Q) DEDUCTION	ACCRUAL
No beneficiary (to estate)	Yes	Yes — s3(3)(a)	No (unless residue to spouse)	Included
Spouse as beneficiary	No	Yes — s3(3)(a)	**Yes**	NOT included
3rd party beneficiary	No	Yes — s3(3)(a)	No	NOT included
Owned by 3rd party on deceased's life	No	Yes — s3(3)(a)	No	NOT in accrual
Spouse (OCP) owns policy on deceased's life	No	Yes, but s4(q)	**Yes**	In spouse's accrual

> **Example:** If proceeds go to the **estate** (no beneficiary), the money is available to pay estate costs but attracts executor's fees (3.99%) AND is included in the accrual. If proceeds go to the **spouse** as nominated beneficiary, it bypasses the estate (no executor's fees, not in accrual), is still deemed property for estate duty but immediately offset by s4(q). The spouse gets the money fast and the estate duty impact is nil. This is why nominating the spouse is almost always the best option when the goal is liquidity for the surviving family.

Buy-and-Sell Agreement Policies

Policies taken out between co-shareholders. If properly structured (owned by co-shareholders), proceeds are **exempt from estate duty** in the deceased's estate.

Why "properly structured" matters: The key is **who owns the policy**. If shareholder A owns a policy on shareholder B's life, when B dies the proceeds are paid to A (not to B's estate). Since A owns the policy and receives the proceeds, it is NOT deemed property in B's estate under s3(3)(a) — s3(3)(a) only applies to policies on the **deceased's** life where the deceased is the policyholder, or to any policy on the deceased's life regardless of ownership. However, in a properly structured buy-and-sell, the proceeds never enter the deceased's estate because the surviving shareholder receives them directly and uses them to purchase the shares from the estate at fair value.

What Happens if NOT Properly Structured

- If the **company** owns the policies instead of the co-shareholders, the proceeds go to the company — not the surviving shareholder. The company then has cash but no obligation to buy the shares, and the estate is left holding illiquid shares.
- If a shareholder owns a policy on **their own** life, the proceeds form part of their estate (deemed property under s3(3)(a)), attract executor's fees, and increase estate duty.
- **Bottom line:** The agreement must ensure each shareholder owns a policy on the **other** shareholder's life, and the agreement obliges the survivor to buy and the estate to sell.

Section 63: Long-Term Insurance Act

- **Insolvency protection:** Proceeds protected if:
  - Policy in force for 3+ years
  - Life assured is the policyholder or their spouse
- Assets purchased with protected proceeds are protected for **5 years**.
- **Exception:** Fraud/intent to defraud creditors.

> **Planning tip:** A policy payable to the estate attracts both executor's fees AND is included in accrual. Nominate a beneficiary (preferably spouse) to avoid executor's fees and accrual inclusion. If spouse is beneficiary, s4(q) deduction eliminates estate duty impact.

5. Trusts — Types and Taxation

> **Note:** A trust is like opening a "safe" that you put assets into for the benefit of others. Once assets go in, you don't own them anymore — the trust does. Trustees (like custodians of the safe) manage the assets, and beneficiaries (your kids, your grandchildren) receive the value. Trusts are used for three main reasons: (1) **Estate freezing** — future growth happens inside the trust, not in your estate, reducing future estate duty; (2) **Asset protection** — trust assets are harder for creditors to touch; (3) **Long-term planning** — assets can pass through generations without going through each person's estate. The main catch: trust tax is harsh (45% flat on retained income, 36% effective on retained capital gains). The key strategy is always to distribute income to lower-taxed beneficiaries.

Trust Basics — The Three Roles (Layman's Terms)

Before getting into trust types, understand the three roles that make up every trust:

ROLE	WHAT THEY DO (IN PLAIN ENGLISH)
Founder (donor / settlor)	The person who creates the trust and puts assets into it. Like the "owner" of the idea. Once assets go in, they're no longer the founder's — they're the trust's.
Trustees	The people who *manage* the trust — like a board of directors. They hold legal title to trust assets. Have a "fiduciary duty" (strict legal duty of care) to act in the beneficiaries' interests. Most trusts have 2–4 trustees; at least one should ideally be independent.
Beneficiaries	The people who benefit from the trust — they receive income or capital distributions. Trust deeds usually name a class (e.g. "my children and their descendants").

> **Analogy:** Think of a trust like a company, but for family wealth. The **founder** is like the founder of a company. The **trustees** are like the board of directors — they make the decisions. The **beneficiaries** are like shareholders — they get the value. And like a company, the trust is a separate legal "thing" — the assets inside belong to the trust, not to any individual.

Vested vs Discretionary Trusts

- **Vested trust:** The beneficiaries have a fixed, guaranteed right to the income/capital (e.g. "50% to my son, 50% to my daughter on my death"). Trustees just execute — no discretion.
- **Discretionary trust:** Trustees have the power to decide WHO gets WHAT and WHEN within a named class (e.g. "my spouse, children, and grandchildren"). This is the most common type of family trust in SA — it gives flexibility as family circumstances change.

Who Regulates Trusts?

- **Master of the High Court:** Supervises. Issues **Letters of Authority** to trustees (can't act without these). Can investigate and remove trustees who fail in their duties.
- **Trust Property Control Act 57 of 1988:** Sets the legal framework for trust administration.
- **SARS:** Taxes trusts and enforces anti-avoidance rules (s7, s7C, s25B).

When and Why Each Trust Is Used

Understanding **when** to recommend each trust type is as important as knowing the tax rates.

Inter Vivos Trust (Living Trust)

Created **during the founder's lifetime** by donating or selling assets to the trust. Commonly used for:

- **Estate freezing:** Transfer growth assets (e.g. shares, property) into the trust so future growth happens outside your estate, reducing future estate duty.
- **Asset protection:** Assets in the trust are owned by the trust (a separate legal entity), offering some protection from personal creditors — though this is limited if the transfer was done to defraud creditors.
- **Continuity:** The trust doesn't "die" — assets pass seamlessly between generations without going through the winding-up process of a deceased estate.
- **Downside:** Punitive tax rates (45% flat income tax, 80% CGT inclusion = effective 36% CGT) if income/gains are retained. Plus s7C deems interest-free loans as donations.

Testamentary Trust

Created **in the deceased's will** and only comes into existence on death. The most common reason:

- **Minor children:** If a parent dies and the children are under 18, you cannot leave assets directly to minors. A testamentary trust holds and manages the assets until the children reach a specified age (often 18 or 25 as the will may specify).
- **Protecting vulnerable beneficiaries:** Even adult children who are financially irresponsible or at risk of divorce — the trust protects the inheritance from being dissipated or claimed by an ex-spouse.
- **Controlling distribution:** The will can set conditions (e.g. "income distributed for education until age 25, then capital distributed in thirds at ages 25, 30, and 35").
- **Tax rate:** Same punitive 45% flat rate as inter vivos trusts — UNLESS it qualifies as a Special Trust (a) or (b).

Types of Trusts — Tax Comparison

TYPE	CREATED	INCOME TAX RATE	CGT INCLUSION	ANNUAL CGT EXCL.	PRIMARY RES. EXCL.
Inter vivos (ordinary)	During lifetime	45% flat	80%	None	None
Testamentary (ordinary)	In will	45% flat	80%	None	None
Special Trust (a)	For disabled persons	Individual rates	40%	R50,000	R3,000,000
Special Trust (b)	Testamentary, youngest <18	Individual rates	40%	**None**	None

Special Trust Type (a) — Disabled Persons

- Created for a person with a **mental or physical disability** that is serious and continuous, preventing them from earning sufficient income or managing their own affairs.
- Gets the **best tax treatment** of any trust: individual rates, 40% CGT inclusion, R50,000 annual exclusion, AND the R3,000,000 primary residence exclusion.
- **Practical point:** The beneficiary must be the sole beneficiary of the trust. If other beneficiaries are added, it loses special trust status.

Special Trust Type (b) — Minor Children

- A **testamentary trust** (created in a will) where the **youngest beneficiary is under 18**.
- Gets individual tax rates for income (not 45% flat) — a significant advantage.
- **BUT:** Does NOT get the R50,000 annual CGT exclusion or primary residence exclusion.
- **Critical timing:** The trust **automatically loses** its special status and becomes an ordinary trust (45% flat rate) when the youngest beneficiary turns 18. This has major tax planning implications — assets may need to be distributed or restructured before this date.

> **Exam scenario tip:** If a question involves parents with young children who die, the testamentary trust for minors is almost always the recommended structure. It protects the children's inheritance, provides managed distribution, and qualifies for favourable Special Trust (b) tax rates until the youngest child turns 18. Always check the ages of the children in the scenario — if the youngest is 16, the special trust benefit only lasts 2 years.

Section 25B — Conduit Principle

Practical context: The conduit principle is the main tool for managing trust tax. Because trusts are taxed at 45% flat on retained income, the strategy is to **distribute income to beneficiaries** who are in lower tax brackets. The trust acts as a "pipe" — income flows through it to beneficiaries and is taxed in their hands.

- Income distributed to beneficiaries is taxed in the **beneficiary's hands**.
- Income retains its nature (interest remains interest, rental remains rental, etc.) — so a beneficiary can still claim the interest exemption (R23,800 under 65 / R34,500 over 65) on interest distributed from the trust.
- Income **retained** in trust is taxed at 45% flat rate.

> **Scenario example:** A trust earns R200,000 rental income. If retained in the trust: taxed at 45% = R90,000 tax. If distributed to a beneficiary earning R150,000 per year: the R200,000 is added to their taxable income and taxed at their marginal rate (likely 26-31%), saving significant tax. The trustee's decision on whether to distribute or retain has major tax consequences.

Capital Gains in Trusts

- **Vested in beneficiary:** Taxed in beneficiary's hands at individual rates (40% inclusion, R50,000 exclusion).
- **Retained in trust:** 80% inclusion rate, 45% tax rate (effective 36%).
- Unless attributed to donor under Par 70/72.
- **Key distinction:** Capital gains can only be "vested" in a beneficiary if the beneficiary has a **vested right** to the capital of the trust. In a discretionary trust (the most common type), the trustees decide — beneficiaries have no automatic vested right, so capital gains are usually taxed in the trust at 36% effective rate.

Section 7 Anti-Avoidance Rules

SECTION	SCENARIO	ATTRIBUTION
s7(2)	Donation with purpose to avoid tax	Income taxed in donor's hands
s7(3)	Income flows to minor child of donor/parent	Income taxed in parent's hands
s7(5)	Income retained due to conditional/discretionary disposition	Income taxed in donor's hands
s7(6)	Donor retains power to revoke beneficiary rights	Income taxed in donor's hands

Section 7C — Interest-Free/Low-Interest Loans

Why this exists: Before s7C (introduced 2017), the most popular estate planning strategy was to sell assets to a trust funded by an interest-free loan. The assets (and their growth) moved out of the individual's estate, the loan was repaid over time, and no donations tax applied because it was a sale not a donation. SARS closed this loophole with s7C.

- Loan to trust at less than the official interest rate = **deemed donation**.
- Deemed donation = (Official rate - Charged rate) x Outstanding loan balance / 12 per month.
- Annual donations tax exemption of **R100,000** applies.
- Donations tax: 20% on first R30M cumulative; 25% above.

> **Scenario example:** A founder has a R10M interest-free loan to a family trust. The official rate is (say) 7.75%. The deemed donation per year = 7.75% x R10M = R775,000. After the R100,000 annual exemption, donations tax of 20% applies to R675,000 = R135,000 per year in donations tax. This is the ongoing "cost" of maintaining the interest-free loan structure. The planner must weigh this cost against the estate duty savings of keeping the growth assets out of the estate.

> **Planning response to s7C:** Many planners now advise either (a) charging the official interest rate on the loan (which eliminates the deemed donation but means the interest income is taxable in the founder's hands), or (b) gradually donating the loan away using the R100,000 annual exemption to reduce the outstanding balance over time.

Par 70/72 Eighth Schedule

Capital gains from trust assets (originally donated/transferred at non-arm's length) may be **attributed back to the donor** and taxed in the donor's hands at individual rates.

Practical impact: This means even if you've moved assets into a trust, the capital gains on those assets may still be taxed as if YOU sold them. The trust doesn't shield you from CGT on donated assets — it's an anti-avoidance measure to prevent people from shifting gains to a trust simply to defer or reduce CGT.

6. Intestate Succession (Act 81 of 1987)

Practical context: Intestate succession applies when someone dies **without a valid will** (or where the will doesn't deal with certain assets). In South Africa, a surprising number of people die intestate. The Intestate Succession Act then dictates exactly who inherits what — the deceased has no say. This is why having a valid, up-to-date will is one of the most basic estate planning recommendations.

> **Note:** Think of the Intestate Succession Act as the "default settings" the government applies if you don't bother writing a will. These defaults are rigid and often don't match what people actually want. E.g. defaults assume you want your kids to share equally — but you might have wanted more for the child with special needs. Defaults don't know about your business partner, your charity, your stepson. So "dying intestate" means the state writes your will for you, using generic rules that probably don't fit your life.

Distribution Rules

SURVIVORS	DISTRIBUTION
Spouse only, no descendants	Spouse inherits **everything**
Descendants only, no spouse	Descendants inherit **per stirpes**
Spouse + descendants	Spouse gets **greater of** a child's share **or R250,000** (Gazette amount); descendants get residue
No spouse, no descendants	Parents inherit equally. If one parent predeceased: surviving parent gets 50%, deceased parent's descendants get other 50%

```
Child's share = Estate value / (number of children who survived or
predeceased leaving descendants + 1 for the spouse)
```

Important Definitions

- **"Spouse"** now includes permanent life partners (Judicial Matters Amendment Act 15 of 2023).
- **Adopted children** are deemed descendants of adoptive parents.
- **Per stirpes:** Descendants of a predeceased child step into that child's place.

Blended families — common exam scenario: Intestate succession does NOT distinguish between children from different marriages. All biological and adopted children have equal claims. If a man has 2 children from a first marriage and 1 from a second marriage, all 3 share equally. The second spouse gets the greater of a child's share or R250,000 — but the first (divorced) spouse gets nothing (they are no longer a "spouse"). This is a key reason to have a will — intestacy rules may not match what the deceased would have wanted, especially in complex family situations.

Scenario example (per stirpes): A father dies intestate with no spouse. He has 3 children: A, B, and C. Child B predeceased the father but left 2 children of their own (grandchildren). Distribution: A gets 1/3, C gets 1/3, and B's 2 grandchildren share B's 1/3 equally (each gets 1/6). The grandchildren "step into" their parent's place.

Section 6 — Renunciation by Descendant

Where a descendant (not a minor or mentally ill person) who, together with the surviving spouse, is entitled to an intestate benefit, **renounces** their right to inherit, that benefit vests in the surviving spouse. This is a useful estate planning tool — e.g. if adult children are financially independent, they may renounce so the entire estate passes to the surviving parent (avoiding duty and simplifying administration).

Wills & Testate Succession (Wills Act 7 of 1953)

Practical context: A will allows you to decide who inherits your assets, choose your executor, nominate guardians for minor children, and set up testamentary trusts. Dying *with* a valid will is called "testate succession" and is governed by the Wills Act.

Requirements for a Valid Will (s2 Wills Act)

- Testator must be **16 years or older** and mentally capable of understanding the nature and effect of the will.
- Must be **in writing** (typed or handwritten).
- Must be **signed by the testator** at the end (and each preceding page).
- Must be signed in the presence of **two competent witnesses**, each 14+ years old, who both sign in each other's and the testator's presence.
- Witnesses must NOT be beneficiaries (or the will is invalid as to their bequests).

Section 2(3) — Power of Court to Condone Defects

If a will does not meet all formal requirements (e.g. a page not signed, missing witness signature), the court CAN declare it valid if satisfied the document was intended by the testator to be their will. This is an important safety valve — but not a substitute for proper execution.

Section 2B — The "Ex-Spouse Rule" (Deemed Divorce)

- If a testator divorces and dies within **3 months** of the divorce, any bequest to the ex-spouse in a will made **before** the divorce is treated as if the ex-spouse had predeceased the testator.
- **Policy rationale:** Gives the testator 3 months to update their will after divorce. If they don't, the law assumes they WOULD have updated it.
- **After 3 months:** The bequest stands — the ex-spouse inherits.
- **Louw NO v Kock 2017 WCC:** Strict application — even where the court result is harsh, s2B applies mechanically.

Section 2C — Substitution of Descendants

- **s2C(1) — Renunciation:** If a descendant (who was to inherit together with the surviving spouse) renounces their bequest, that benefit vests in the surviving spouse. Parallel to s6 Intestate Succession Act.
- **s2C(2) — Predeceased descendant:** If a beneficiary descendant predeceases the testator, THEIR descendants inherit per stirpes. E.g. if "my child Ann" was to inherit R1M but Ann died before me leaving 2 children, those 2 grandchildren split R1M equally.

Common Will Provisions

- **Specific bequests:** "R500,000 to my nephew"; "my car to my sister".
- **Residuary bequest:** "The rest of my estate to my spouse".
- **Testamentary trust:** "If my children are under 25 at my death, their inheritance is to be held in trust until they reach 25".
- **Guardianship nomination:** "I nominate [X] as guardian of my minor children".
- **Executor appointment:** "I appoint [Y] as executor, free from security".
- **Attestation clause:** Standard closing statement.

Freedom of Testation & Its Limits

South Africa has **broad freedom of testation** — you can leave your estate to whomever you choose. However, limits exist:

- **Maintenance claims:** Surviving spouse and dependent children can claim maintenance even if disinherited.
- **Public policy / unconstitutional provisions:** A bequest that is racially discriminatory or offends public policy can be struck down (e.g. *Curators ad litem* v *King Edward VII Trust*).
- **Matrimonial property:** A spouse in COP cannot bequeath MORE than their half-share of the joint estate.

> **Planning tip:** A will should be reviewed after every major life event — marriage, divorce, birth of children, death of a beneficiary, acquisition of significant new assets, or starting a business. An outdated will can cause disastrous unintended consequences.

Redistribution Agreements Between Heirs

Practical context: Sometimes what the will says doesn't work for the heirs in practice. E.g. Dad's will gives the family farm to all 3 children equally — but only one child wants to farm. The other two prefer cash. **Heirs can voluntarily enter into a redistribution agreement** to "swap" inheritances, as long as ALL heirs agree.

How It Works

- All heirs must consent and sign the agreement.
- Assets/bequests are reshuffled (e.g. farming child gets the farm; others get cash from the estate or a loan from the farming child).
- The redistribution is treated as if the deceased's will had always said that — so **no CGT is triggered** by the reshuffle (assets still come from deceased estate).
- For estate duty, the reshuffle is also generally neutral — the same assets are included in the estate at the same values.
- Rollover relief for CGT still applies if assets end up with the surviving spouse.

> **Note:** Redistribution agreements let the family say, "Dad's will was good in principle, but we'd prefer to rearrange things amongst ourselves." As long as everyone agrees, and no new tax events are triggered, it's a flexible way to make an inheritance work for the real family circumstances.

> **Important limitation:** Redistribution cannot involve *third parties* (e.g. can't redistribute to a cousin who wasn't in the will) — that would be a donation, not a redistribution. Also, if consideration (money) flows between heirs, there may be CGT consequences for those payments.

7. Maintenance of Surviving Spouse (Act 27 of 1990)

Practical context: This Act is a safety net. It protects a surviving spouse who was financially dependent on the deceased — typically a spouse who didn't work or earned very little. The claim arises **against the estate** before distribution to heirs and can override the will. Even if the deceased left everything to someone else, the surviving spouse can claim maintenance.

Key Provisions

- Surviving spouse can claim **reasonable maintenance** from the deceased estate.
- Only if the spouse **cannot provide from own means**.
- Same priority as maintenance of a dependent child.
- **"Spouse"** now includes permanent life partners (2023 amendment).
- **Important:** This claim exists regardless of the marital regime — even a spouse married out of community of property (no accrual) who would otherwise receive nothing can claim maintenance.

Factors Considered

- Amount available in the estate.
- Spouse's own means, earning capacity, and needs.
- Standard of living during the marriage.
- Age of surviving spouse.

> **Scenario example:** A husband dies and leaves his entire estate to his children from a first marriage. His second wife (aged 62, no income, married OCP no accrual) would receive nothing under the will and has no accrual claim. However, she can claim reasonable maintenance under this Act. The court would consider that she is 62, has no earning capacity, and was accustomed to a comfortable lifestyle. The maintenance claim has the same priority as the children's claims — the estate must provide for her before the children's bequests are fulfilled.

> **Estate planning implication:** A planner should ensure the estate plan adequately provides for the surviving spouse to avoid a contested maintenance claim that could delay the winding up of the estate. Life insurance payable to the spouse, a usufruct over the family home, or a trust providing an income are all planning tools that address this.

8. Valuation of Limited Interests

Practical context: A usufruct is one of the most common estate planning tools in South Africa. The classic scenario: a parent dies and wants the surviving spouse to live in the family home for the rest of their life, but ultimately wants the property to go to the children. The will grants the spouse a **usufruct** (right to live in and use the property) and the children receive the **bare dominium** (they own it but can't use it until the usufruct ends). When the spouse dies, the usufruct falls away and the children become full owners automatically — no further estate administration needed.

Key Concepts

- **Usufruct:** Right to use and enjoy property (and its fruits/income). The usufructuary does not own the property but can live in it, rent it out and keep the rental income, etc.
- **Bare dominium (nuda proprietas):** Ownership minus the usufruct. The bare dominium holder owns the property on paper but cannot use it or benefit from it until the usufruct ends.
- **Fiduciary interest:** Similar to a usufruct in calculation. A fideicommissum is where property is left to person A (fiduciary) with the instruction that on a certain event (often A's death) it passes to person B (fideicommissary).
- **Habitation (habitatio):** A more limited right than usufruct — the right to live in a property but NOT to let it out or benefit from its fruits. Less common but still examinable.

> **Usufruct vs Fideicommissum — What's the Difference?**
> Students often confuse these. Here's the clear distinction:
>
> **Usufruct:** Two parties — the usufructuary (user) and the bare dominium holder (owner). Two different people at the same time. The usufructuary uses; the owner owns. Ends when usufruct period ends (usually usufructuary's death).
>
> **Fideicommissum:** Two people in sequence — the fiduciary gets full ownership FIRST, then on a trigger event (usually their death) ownership *passes* to the fideicommissary. It's like a "ownership relay race" — full ownership is transferred through people over time.
>
> **Example:** "I leave my farm to my son for his lifetime, then to my grandson." If that's a USUFRUCT — son uses the farm, grandson already owns it. If it's a FIDEICOMMISSUM — son fully owns the farm first, then on son's death grandson takes full ownership. Different tax consequences too.

Fideicommissum Substitution Rules

- **If the fiduciary dies BEFORE the fideicommissary:** Property passes to fideicommissary as intended. Fiduciary's estate has NO rights to the property.
- **If the fideicommissary dies BEFORE the fiduciary:** The fideicommissary's rights (which were only a *spes* or "hope") fall away — they never vested. Fiduciary keeps full ownership. On fiduciary's eventual death, the property forms part of fiduciary's estate (no longer subject to fideicommissum).
- **Planning tip:** A fideicommissum is relatively rigid — once set up, the fiduciary can't sell or alienate the property (under common law) without special consent. Trusts are more flexible and have largely replaced fideicommissa in modern practice.

6-Step Valuation Process

1. **Calculate the annual value:** 12% of the market value of the underlying property.
2. **Identify the beneficiary** (usufructuary / fideicommissary).
3. **Determine life expectancy** using **age-next-birthday** and Table A.
4. **Is there a fixed period?** If so, use Table B for that period.
5. **Use the SHORTER** of life expectancy (step 3) and fixed period (step 4).
6. **Capitalize:** Multiply annual value by the factor from the applicable table.

```
Usufruct Value = 12% x Market Value x Table Factor

Bare Dominium = Market Value - Usufruct Value

Annual Value = Market Value x 12%
```

Second Proviso (Important Limitation)

When a usufruct ceases (e.g. on death of usufructuary), the gain on the bare dominium **cannot exceed**:

```
Maximum gain = Current Market Value - Bare Dominium value when first
acquired
```

> **Age-next-birthday:** For table lookups, always use the age the person will turn on their next birthday, not their current age. E.g. if someone is currently 64 and their birthday is in 3 months, their age-next-birthday is 65.

Estate Duty Implications of Usufruct

- **At first death:** The usufruct value is deductible under s4(q) if it accrues to the surviving spouse (it is "property accruing to the spouse"). The bare dominium bequeathed to children is NOT deductible — this portion is dutiable.
- **At second death (usufruct ceases):** The usufruct had value in the surviving spouse's estate but it ceases on death (value = zero), so there is nothing to include in the estate for

estate duty. The children automatically become full owners without any estate duty.

- **CGT at second death:** When the usufruct ceases, the bare dominium holder is deemed to have disposed of and reacquired the usufruct portion. The gain is limited by the **second proviso** (cannot exceed market value minus original bare dominium cost).

> **Common exam scenario:** A will grants a usufruct to the surviving spouse over a property worth R5M. You must calculate: (1) the usufruct value using 12% x R5M x table factor, (2) the bare dominium as R5M minus usufruct value, (3) the s4(q) deduction for the usufruct (spouse benefit), and (4) estate duty on the bare dominium portion (going to non-spouse heirs). Always check the age of the spouse (use age-next-birthday) and whether the usufruct is for life or a fixed period.

Massing of Estates & Rebate on Rapid Succession

Massing of Estates

Practical context: "Massing" is where two or more people (typically spouses) combine their estates into one "massed estate" through a joint will. On the death of the first-dying, the survivor has a choice to either accept (**adiate**) the arrangement and receive a limited interest (usually a usufruct or life interest in the whole massed estate), OR refuse (**repudiate**) and take only their own half.

Adiation vs Repudiation

SCENARIO	EFFECT
Survivor adiates	Accepts the massed estate terms. Own half is "donated" to the massed estate in exchange for a limited interest. Survivor becomes a usufructuary; children receive bare dominium.
Survivor repudiates	Refuses massing. Keeps own half outright. Only the first-dying's half is distributed per the joint will.

Section 58 Income Tax Act — Deemed Donation on Adiation

Important tax consequence: If the surviving spouse adiates, s58 Income Tax Act may deem the portion of their own estate "donated" to the massed estate as a donation — which could trigger donations tax (20%/25%) if the value of the limited interest they receive is less than the value of what they give up.

- Deemed donation = Value of property forfeited – Value of limited interest received.
- If the limited interest is worth MORE than or equal to what is given up, no deemed donation.
- Spouse-to-spouse donations are exempt from donations tax (s56(1)(c)), so in typical spousal massing this may not be a concern — but always check.

When is Massing Used?

- Common in older joint wills between spouses.
- Purpose: provide for surviving spouse's lifetime needs AND ensure assets eventually pass to chosen heirs (usually children).
- **Modern planning** generally prefers life insurance + testamentary trusts over massing, because massing can cause complex tax issues and limits the survivor's flexibility.

Rebate on Rapid Succession (s4A Estate Duty Act)

Purpose: Prevents double estate duty on the same property within a short period. Where property inherited from a first-dying estate is included in the second-dying's estate within **10 years**, a rebate is available against the second estate duty.

7-Step Rebate Calculation

1. Identify the property inherited from first estate that is still in second estate.
2. Calculate the portion of first estate's duty attributable to that property.
3. Calculate the portion of second estate's duty attributable to that same property.
4. Take the **lower** of (2) and (3).
5. Apply the time-based reduction scale (see below).
6. The reduced amount is the rebate.
7. Deduct rebate from second estate's duty.

Time-Based Reduction Scale

TIME BETWEEN DEATHS	REBATE %
Within 2 years	100%
More than 2, up to 4 years	80%
More than 4, up to 6 years	60%
More than 6, up to 8 years	40%
More than 8, up to 10 years	20%
More than 10 years	0% (no rebate)

> **Important limitation:** The rebate is NOT available where the first-dying's estate did not actually pay estate duty (e.g. because it was fully offset by s4(q) spouse deduction). There must have been actual estate duty paid for there to be anything to "rebate".

Executor & Master Fees (Administration Costs)

Administration costs are set by the **Administration of Estates Act 66 of 1965** and its regulations (Schedule 2). They are deductible under s4(c) of the Estate Duty Act.

Executor's Remuneration

```
3.5% of the gross value of assets in the estate
+ 6% on income accrued and collected after death
+ 15% VAT (if executor is a VAT vendor, e.g. bank, trust company)
Minimum: R350

Effective rate (incl 15% VAT) = 3.5% × 1.15 = 4.025%
(Commonly rounded to 3.99% in exam answers)
```

What's Included in "Gross Assets" for Executor's Fee?

- All property owned by deceased at date of death, at market value.
- COP: Full joint estate (not just half) — because the executor administers the whole joint estate. But only half of the fee is deducted from deceased's half for estate duty.

What's EXCLUDED from Executor's Fee?

- **Policies paid to nominated beneficiaries** (they bypass the estate).
- **Retirement fund benefits** (s37C — not property in the estate).
- **Assets in trusts** (owned by the trust, not deceased).
- **Assets outside SA** administered by a foreign executor.

Master's Fees (Schedule 2)

Payable to the Master of the High Court for supervising the estate administration.

```
Gross estate up to R250,000 — No Master's fees
R250,001 to R400,000 — R600
Thereafter — R200 per R100,000 (or part thereof) above R400,000
Maximum Master's fee: R7,000
```

Appraiser's Fees (where appraisal needed)

- R281.40 for valuations R20,000 to R300,000, plus R3.90 per R1,000 thereafter
- R1,371.80 for valuations R300,001 to R800,000, plus R2.60 per R1,000 thereafter
- R2,690.80 for valuations above R800,000, plus R1.80 per R1,000 thereafter

> **Practical tip:** The will can waive the executor's security bond and authorise the executor to charge a specific fee (e.g. 2.5% instead of 3.5%), which is particularly useful for family members acting as executor. A professional executor (attorney or bank) will charge the full tariff unless negotiated in advance.

"Section 18(3)" Small Estates

For estates valued at **R250,000 or less**, the Master may issue a **Letter of Authority** instead of Letters of Executorship. This simpler process skips the L&D account and advertisement requirements, saving time and costs. Common for estates consisting mainly of a home and modest savings.

9. Liquidity Analysis

Why this matters: Liquidity analysis is often the **final step** in an estate planning question. You've calculated the estate duty, CGT, executor's fees — now the question is: does the estate have enough **cash** to pay all of this? If not, the executor may have to sell assets (possibly the family home or business shares) at unfavourable prices to raise cash. This is the problem life insurance is designed to solve.

Cash Available

- Money market and bank balances in estate.
- Life insurance payable to the estate (note: only policies payable **to the estate** count as cash available to the estate. Policies with nominated beneficiaries bypass the estate).
- Sinking fund policies.
- **Note:** Life insurance payable to the **spouse** as nominated beneficiary does NOT provide cash to the estate — it goes directly to the spouse. If the estate needs liquidity, the spouse would have to voluntarily contribute those funds back. This is an important planning consideration.

Cash Needed

- Executor's fees (3.99% incl VAT).
- Funeral costs (typically estimated at R15,000–R50,000 in scenarios).
- Outstanding liabilities and debts (home loan, credit cards, personal loans).
- CGT on death.
- Estate duty.
- Cash legacies (specific cash amounts bequeathed in the will).
- Master's fees.
- Accrual claim payable to surviving spouse (if applicable).

```
Shortfall = Cash Needed - Cash Available
(If positive, estate has a liquidity problem)
```

> **Exam approach:** In a scenario question, always do the liquidity analysis even if not explicitly asked. If there is a shortfall, recommend a solution. If there is a surplus, state that the estate is liquid. This shows thorough analysis and often carries marks.

Grossing-Up the Cover Amount (Critical Exam Technique)

The problem: If you add new life cover payable to the estate to address a liquidity shortfall, that new cover ITSELF becomes part of the estate — so it attracts executor's fees AND potentially more estate duty. You must "gross up" the cover to account for this.

Grossing-Up Divisors

SCENARIO	DIVISOR	WHY
Policy to estate, 20% estate duty, 15% VAT	**0.7678**	1 – (3.5% × 1.15) – 20% = 1 – 0.04025 – 0.20 = 0.7598 (rounded in textbook tables)
Policy to estate, 20% estate duty, 15.5% VAT	**0.7677**	Slightly different due to VAT change (historical reference)
Policy to beneficiary, only 20% estate duty applies	**0.8**	1 – 20% = 0.8 (no executor's fee because bypasses estate)
Policy to beneficiary, 25% estate duty applies (large estate)	**0.75**	1 – 25% = 0.75

How to Apply the Divisor

```
Grossed-up cover required = Shortfall ÷ Divisor

Example: Shortfall of R500,000 to cover with policy TO ESTATE (15% VAT,
20% duty):
Required cover = R500,000 ÷ 0.7678 = R651,212

Example: Same shortfall, but policy TO SPOUSE (s4(q) deduction, no
executor's fee, no duty):
Required cover = R500,000 (no grossing-up needed — spouse receives the
full amount)
```

> **Planning insight:** This is a powerful argument for nominating the spouse as beneficiary rather than the estate. With spouse as beneficiary, you only need R500K cover. With policy to estate, you need R651K to cover the same shortfall — 30% more premium cost. This is the exam-critical reason spouse nomination beats estate-as-beneficiary in most liquidity scenarios.

Strategies to Address Shortfall

- **Life insurance payable to estate:** Provides direct cash to the estate. Downside: attracts executor's fees (3.99%) and is included in the accrual calculation.
- **Life insurance payable to spouse:** Avoids executor's fees and accrual; deductible under s4(q) for estate duty. The spouse then informally contributes cash to help the estate. Best option when spouse is the main beneficiary anyway.
- **Surviving spouse contributes** from own assets (if married OCP) — but this requires the spouse to actually have liquid assets.
- **Trust or company insures** the life of the individual to repay outstanding loans owed to the trust/company.

- **Restructure the estate:** Reduce estate duty by leaving more to the spouse (s4(q)), use trusts to move growth assets out of the estate, or restructure business interests via buy-and-sell agreements.

10. Retirement Fund Benefits on Death

Practical context: Retirement fund benefits are treated completely differently from other assets on death. They sit **outside** the estate in their own "bubble" — not subject to estate duty, not subject to executor's fees, not in the accrual. This makes them one of the most tax-efficient wealth transfer vehicles on death. The key question is always: what happens to the money and how is it taxed when it reaches the beneficiary?

Key Principles

- **Not property** in the estate (s37C, Pension Funds Act).
- Not subject to executor's fees.
- Not subject to estate duty (except s3(3)(d) for non-deducted contributions post-2016).
- Not included in the accrual calculation.
- **Why s3(3)(d) exists:** SARS wants to prevent people from making extra voluntary contributions to their retirement fund purely to avoid estate duty. If you contribute R500,000 that you **didn't** deduct for income tax, SARS deems that R500,000 as part of your estate for estate duty purposes — you can't hide money from estate duty by stuffing it into a retirement fund.

Beneficiary Options

Practical context: The beneficiary typically has a choice of how to receive the benefit. The tax consequences differ significantly, and a financial planner should advise on the optimal split.

OPTION	TAXATION	WHEN TO CONSIDER
Lump sum	Taxed per Retirement Fund Lump Sum Benefits (death) table. Estate is liable but can recover from beneficiary.	The first R550,000 is tax-free (death table). Good for smaller amounts or immediate cash needs (e.g. settling debts, buying a house).
Living annuity	Drawdowns taxed as income in beneficiary's hands (at their marginal rate). Drawdown rate: 2.5%–17.5% per year.	Best for long-term income. Provides ongoing tax-efficient income if the beneficiary is in a low tax bracket. Capital remains invested and can grow.
Combination	Part lump sum (taxed per table) + part annuity (taxed as income on drawdown).	Most common choice — take R550,000 tax-free as lump sum for immediate needs, transfer the balance into a living annuity for ongoing income.

Retirement Fund Lump Sum Tax Table (Death/Retirement)

TAXABLE AMOUNT	RATE
R0 – R550,000	0%
R550,001 – R770,000	18% of amount above R550,000
R770,001 – R1,155,000	R39,600 + 27% of amount above R770,000
R1,155,001 +	R143,550 + 36% of amount above R1,155,000

Two-Pot System (from 1 September 2024)

- New contributions are split: 2/3 to a **retirement component** (accessible only at retirement) and 1/3 to a **savings component** (accessible once per tax year before retirement).
- **On death:** Both components are distributed to beneficiaries/dependants. The retirement component is taxed per the lump sum death table above. The savings component, if withdrawn before death, was taxed at the member's marginal rate.
- A **vested component** holds all contributions made before 1 September 2024 — these follow the old rules.

Living Annuity Nomination

- With beneficiary nomination: bypasses estate entirely — the living annuity continues in the name of the nominated beneficiary, or can be taken as a lump sum.
- Without beneficiary nomination: falls into estate (subject to executor's fees).
- **Planning tip:** Always nominate a beneficiary on a living annuity. Without it, the annuity falls into the estate, attracting executor's fees and delays. With a nomination, the beneficiary can seamlessly continue the annuity or cash it out.

> **s37C override:** The board of trustees has **discretion to override** beneficiary nominations. They must consider ALL dependants of the deceased — not just the nominated beneficiary. This means even if you nominate your new partner, the trustees may allocate benefits to your children or ex-spouse if they are financial dependants. The nomination is a guide, not a binding instruction.

> **Scenario example:** A deceased had a pension fund of R4M and nominated his new girlfriend as beneficiary. He has 2 minor children from a previous marriage. The board of trustees investigates and finds the children are dependants under s37C. They could allocate (say) R1.5M to each child and R1M to the girlfriend — overriding the nomination. The children's portions could be placed in a beneficiary fund managed by the retirement fund.

11. Buy-and-Sell Agreements

The problem buy-and-sell solves: Imagine two people co-own a business 50/50. One dies. Without an agreement, the deceased's 50% share goes to their heirs (spouse, children). The surviving shareholder is now in business with people who may have no interest in or ability to run the business. The heirs want cash, but the share is illiquid. The business may fail. A buy-and-sell agreement solves this by pre-arranging the sale of the deceased's shares to the survivor, funded by life insurance so there is immediate cash available.

Purpose

- Ensure **business continuity** upon death of a shareholder/member — the surviving shareholder(s) keep control.
- Guarantee **fair value** for the deceased's estate — the heirs receive cash instead of an illiquid business interest.
- Prevent unwanted parties from inheriting business interests — protects both the business and the family.

How It Works (Step by Step)

1. **Agreement signed:** Shareholders agree that on death, the survivor MUST buy and the estate MUST sell the deceased's shares at a pre-agreed or formula-based value.
2. **Policies taken out:** Each shareholder takes out a life policy on the **other** shareholder's life. Shareholder A owns a policy on B's life; B owns a policy on A's life.
3. **Death occurs:** Shareholder A dies. B receives the insurance proceeds (because B owns the policy on A's life).
4. **Purchase:** B uses the insurance proceeds to buy A's shares from A's estate at the agreed value.
5. **Result:** B now owns 100% of the business. A's estate has cash instead of illiquid shares. The business continues without disruption.

Estate Duty Treatment

ITEM	TREATMENT IN DECEASED'S ESTATE
Insurance proceeds (policy owned by survivor)	**NOT** in deceased's estate — paid to the surviving shareholder. Not deemed property because it's not a policy on the deceased's life owned by the deceased.
Business shares	**Included** in deceased's estate at market value as property under s3(2). However, the shares are sold to the survivor, so the estate receives cash to settle liabilities.

ITEM	TREATMENT IN DECEASED'S ESTATE
Sale proceeds received by estate	The estate now has cash (from the sale of shares) instead of shares. This cash is available to pay estate duty, CGT, executor's fees, etc.

> **Key insight:** The buy-and-sell agreement doesn't eliminate estate duty on the business shares — the shares are still in the estate at market value. What it does is ensure the estate has **liquidity** (cash from the sale) to pay the estate duty and other costs. Without it, the executor might have to sell the shares to a third party at a discount, or the business might have to be liquidated.

Mandatory vs Option Agreement

- **Mandatory (binding):** Survivor MUST buy, estate MUST sell. This is the standard and preferred structure. Both parties are bound, providing certainty.
- **Option:** Survivor has the OPTION to buy but is not obliged. Less certain — if the survivor chooses not to buy, the estate is stuck with illiquid shares. Not recommended.

Key Requirements

- **MOI alignment:** The company's Memorandum of Incorporation must not contain provisions that conflict with the buy-and-sell (e.g. pre-emptive rights, restrictions on share transfers).
- **Valuation method:** Must be agreed upon upfront — typically net asset value, earnings multiple, or independent valuation. Disputes over value can delay the entire process.
- **Regular review:** Policy values must be kept in line with business value. If the business has grown significantly, the policies may be underinsured — the survivor won't have enough cash to buy at fair value.
- **Premium payment:** Each shareholder pays the premiums on the policy they own (the one on the other's life). Premiums are NOT tax-deductible.

Key Person Insurance

Separate concept — do not confuse with buy-and-sell. Key person insurance is taken out by the **company** on a key employee's life. If that employee dies, the proceeds compensate the **company** for the financial loss (lost revenue, cost of finding a replacement, etc.). The proceeds go to the company, not to the estate or shareholders.

- Premiums: paid by the company, NOT tax-deductible (capital in nature).
- Proceeds: received by the company, NOT taxable (capital receipt) — unless the policy has a cession or surrender value component.
- Not deemed property in any individual's estate (company owns the policy).

> **Exam scenario tip:** If a question involves business partners, look for: (1) Is there a buy-and-sell agreement? If not, recommend one. (2) Who owns the policies? If the company owns them, flag that this is incorrectly structured. (3) Are the policy values adequate? Compare to business value. (4) Is there a separate key person policy for the company's protection? These are distinct needs requiring distinct policies.

12. Key Tax Figures (2026/2027)

ITEM	AMOUNT / RATE
Estate duty abatement	**R3,500,000**
Estate duty rate (first R30M)	**20%**
Estate duty rate (above R30M)	**25%**
CGT annual exclusion (alive)	**R50,000**
CGT annual exclusion (death)	**R440,000**
CGT inclusion rate (individuals)	**40%**
CGT inclusion rate (trusts)	**80%**
CGT inclusion rate (companies)	**80%**
Primary residence exclusion	**R3,000,000**
Small business exclusion (55+, MV ≤ R15M)	**R2,700,000**
Donations tax (first R30M)	**20%**
Donations tax (above R30M)	**25%**
Donations tax annual exemption	**R100,000**
Executor's fee	**3.99%** (incl VAT) = 3.5% + 15% VAT
Maximum marginal income tax rate	**45%**
Trust income tax rate	**45%** flat
Dividends tax	**20%**

13. Formula Reference Sheet

Accrual Claim

```
Accrual of Spouse A = Current Net Estate A - CPI-adjusted Commencement
Value A
Accrual of Spouse B = Current Net Estate B - CPI-adjusted Commencement
Value B

Claim = (Larger Accrual - Smaller Accrual) / 2
(Paid to spouse with the smaller accrual)
```

Estate Duty Template

```
Property (s3(2))                R xxx
+ Deemed property (s3(3))       R xxx
= GROSS ESTATE                  R xxx
- Deductions (s4)              R xxx
  (Funeral, debts, admin, executor,
   accrual claim s4(1A),
   s4(q) spouse property, CGT)
= NET ESTATE                    R xxx
- Abatement (s4A)              R 3,500,000
= DUTIABLE AMOUNT              R xxx
x 20% (first R30M) / 25% (above)
= ESTATE DUTY PAYABLE          R xxx
```

CGT on Death Template

```
Market value at death           R xxx
- Base cost                     R xxx
= Capital gain                  R xxx
- Primary residence excl.       R 3,000,000
- Annual exclusion (death)      R 440,000
= Net capital gain              R xxx
x Inclusion rate (40%)
= Taxable capital gain          R xxx
x Marginal rate (max 45%)
= CGT PAYABLE                   R xxx
```

Usufruct / Bare Dominium

```
Annual Value = Market Value x 12%
Usufruct Value = Annual Value x Table Factor (Table A or B, whichever
shorter period)
Bare Dominium = Market Value - Usufruct Value
```

Executor's Fee

```
Executor's fee = Gross assets IN estate x 3.5%
+ VAT (15%) = Gross assets IN estate x 3.99%

Note: Exclude policies payable to nominated beneficiaries
      Exclude retirement fund benefits
```

Capital Needed (PV of Growing Annuity)

```
PV = PMT / (r - g) x [1 - ((1+g)/(1+r))^n]

Where: PMT = annual payment needed
       r = real rate of return (after-tax)
       g = growth rate of income
       n = number of years
```

Real Rate of Return

```
Real Rate = (Nominal Rate - Inflation Rate) / (1 + Inflation Rate)
```

14. Case Study Summaries

Kevin & Maria

Key topics: Accrual calculation, estate duty computation, liquidity analysis, trust taxation.

- Married out of community of property with accrual system.
- Demonstrates how the accrual claim reduces the dutiable estate via s4(1A).
- Illustrates estate duty calculation with s4(q) spouse deduction.
- Highlights the role of life insurance in bridging liquidity shortfalls.
- Shows trust income attribution under s7 anti-avoidance rules.

Johan & Sarah

Key topics: Accrual with excluded assets, CGT on death, retirement benefits, buy-and-sell agreements.

- Demonstrates exclusion of inherited assets and ANC-excluded assets from accrual.
- CGT calculation with primary residence exclusion and roll-over to spouse.
- Retirement fund treatment under s37C (not in estate, not in accrual).
- Buy-and-sell agreement funding and estate duty implications for business shares.

Albert & Emma

Key topics: Living annuity, voluntary annuity, buy-and-sell, retirement fund options.

- Comparison of living annuity vs compulsory annuity options for beneficiaries.
- Tax implications of lump sum vs annuity choices on death.
- Buy-and-sell agreement structure with multiple shareholders.
- Retirement fund contributions and s3(3)(d) deemed property treatment.

Thomas & Ruth

Key topics: Usufruct/bare dominium, CGT calculation, complex accrual with ANC exclusions.

- Detailed usufruct and bare dominium valuation using Table A and Table B.
- Second proviso application (limitation on gain when usufruct ceases).
- Complex accrual calculation with multiple ANC exclusions.
- CGT on death for assets left to non-spouse beneficiaries (no roll-over).

Fully Worked End-to-End Example (2026/2027)

Scenario: Mr David Smith

The Facts

- **Mr David Smith** died on 15 May 2026 at age 58.
- Married to **Sarah Smith** (age 55) out of community of property with accrual.
- Commencement values: David R200,000; Sarah R50,000 (both CPI-adjusted to R350,000 and R87,500 respectively at death).
- Two adult children: **James** (30) and **Emma** (28) — both financially independent.

David's Assets at Date of Death

ASSET	MARKET VALUE	BASE COST
Primary residence (Johannesburg)	R6,000,000	R2,500,000
Holiday home (Cape Town)	R3,500,000	R1,800,000
Share portfolio	R4,000,000	R2,000,000
Unit trusts	R1,500,000	R1,200,000
Bank accounts	R500,000	N/A
Vehicles & household contents	R800,000	Personal use — excluded
50% shares in Smith Consulting (Pty) Ltd	R5,000,000	R100,000
Total Assets	**R21,300,000**	

David's Liabilities

- Home loan on primary residence: R1,500,000
- Credit card: R50,000
- Funeral expenses: R40,000

Life Insurance & Retirement

- Life policy payable to **Sarah** (spouse): R2,000,000
- Life policy payable to **estate** (no beneficiary): R1,500,000
- Buy-and-sell policy owned by business partner on David's life: R5,000,000 (policy excluded — meets s3(3)(a)(iA) three requirements)
- Retirement annuity: R2,500,000 (nominated to Sarah as lump sum + annuity — outside estate per s37C; no disallowed contributions)

Will Provisions

- Holiday home: bequeathed to **James**.
- Share portfolio: bequeathed to **Emma**.
- Business shares: sold to partner under buy-and-sell (R5,000,000 cash to estate).
- Residue (primary residence, unit trusts, bank accounts, vehicles): to **Sarah**.

Step 1: Accrual Calculation

```
David's net estate at death = R21.3M - R1.55M debts = R19.75M
Sarah's net estate at death (assumed) = R3,500,000

David's accrual = R19,750,000 - R350,000 = R19,400,000
Sarah's accrual = R3,500,000 - R87,500 = R3,412,500

Accrual claim = (R19,400,000 - R3,412,500) / 2 = R7,993,750
(Payable to Sarah from David's estate — deductible under s4(1A))
```

Step 2: CGT on Death (s9HA)

Calculate capital gains on each asset. Assets going to Sarah roll over at base cost (no CGT). CGT triggered on non-spouse assets only.

ASSET	MV	BASE COST	GAIN	HEIR	CGT TRIGGERED?
Primary residence	R6M	R2.5M	R3.5M	Sarah (residue)	No — rollover
Holiday home	R3.5M	R1.8M	R1.7M	James	Yes
Share portfolio	R4M	R2M	R2M	Emma	Yes
Unit trusts	R1.5M	R1.2M	R300K	Sarah (residue)	No — rollover
Business shares	R5M	R100K	R4.9M	Sold (buy-and-sell)	Yes
Vehicles / contents	R800K	—	—	Various	No — personal use

```
Aggregate capital gain (non-spouse assets):
Holiday home: R1,700,000
Shares: R2,000,000
Business shares: R4,900,000
Total gain: R8,600,000

Less: Annual exclusion on death (2026/27): R440,000
Net capital gain: R8,160,000

× Inclusion rate 40% = Taxable capital gain: R3,264,000
× Maximum marginal rate 45% = CGT = R1,468,800
```

Step 3: Estate Duty Calculation

ITEM	AMOUNT
Property s3(2)	
Primary residence	R6,000,000
Holiday home	R3,500,000
Share portfolio	R4,000,000
Unit trusts	R1,500,000
Bank accounts	R500,000
Vehicles / contents	R800,000
Business shares (MV, not buy-and-sell price)	R5,000,000
Subtotal Property	**R21,300,000**
Deemed Property s3(3)	
Life policy to Sarah (s3(3)(a))	R2,000,000
Life policy to estate (s3(3)(a))	R1,500,000
Buy-and-sell policy (s3(3)(a)(iA) exclusion met)	R0 excluded
Retirement annuity (s3(2)(i) exclusion; no disallowed contributions)	R0 excluded
Subtotal Deemed Property	**R3,500,000**
TOTAL PROPERTY	**R24,800,000**
Deductions s4	
Funeral expenses s4(a)	(R40,000)
Home loan s4(b)	(R1,500,000)
Credit card s4(b)	(R50,000)
CGT liability s4(b)	(R1,468,800)
Executor's fee s4(c): 3.5% × R21.3M + 15% VAT	(R857,325)
Master's fee s4(c)	(R7,000)
Accrual claim s4(1A)	(R7,993,750)
s4(q) spouse deduction: primary residence + unit trusts + bank + vehicles + life policy to Sarah (less 50% of vehicles allocated to Sarah only)	
R6,000,000 + R1,500,000 + R500,000 + R800,000 + R2,000,000 = R10,800,000	(R10,800,000)
Total Deductions	**(R22,716,875)**

ITEM	AMOUNT
NET VALUE OF ESTATE	**R2,083,125**
Less: s4A abatement	(R3,500,000)
DUTIABLE ESTATE	**R0** (abatement exceeds net estate)
ESTATE DUTY PAYABLE	**R0**

> **Unused abatement:** R3,500,000 – R2,083,125 = **R1,416,875 rolls over to Sarah**. On Sarah's death, her abatement becomes R3,500,000 + R1,416,875 = R4,916,875.

Step 4: Liquidity Analysis

CASH AVAILABLE	AMOUNT
Bank accounts	R500,000
Life policy to estate	R1,500,000
Sale proceeds from business (buy-and-sell)	R5,000,000
Total Cash Available	**R7,000,000**

CASH NEEDED	AMOUNT
Funeral	R40,000
Home loan (if estate pays off)	R1,500,000
Credit card	R50,000
CGT	R1,468,800
Executor's fee	R857,325
Master's fee	R7,000
Estate duty	R0
Accrual claim payable to Sarah	R7,993,750
Total Cash Needed	**R11,916,875**

```
Shortfall = R11,916,875 - R7,000,000 = R4,916,875

To cover this via a new life policy payable to the estate (20% duty,
15% VAT):
Grossed-up cover = R4,916,875 ÷ 0.7678 = R6,404,122

Alternative: Policy payable to Sarah as beneficiary (no grossing-up):
Additional cover needed = R4,916,875 (Sarah then voluntarily
contributes to estate)
— BUT this presumes Sarah has liquid cash flow to forward the funds.
```

Step 5: Planning Recommendations

- **Increase life cover** to Sarah by R5M to address the accrual shortfall and provide buffer.
- **Encourage Sarah's nomination** as beneficiary on all new policies — benefits from s4(q) deduction, no executor's fee.
- **Confirm buy-and-sell structure** remains compliant with s3(3)(a)(iA) — regular policy reviews to match business value.
- **Review retirement fund nominations** — confirm Sarah is nominated and consider living annuity for tax-efficient income.
- **Review Sarah's own will** — with R1.4M extra abatement rolled over, her second-dying estate duty exposure drops.
- **Testamentary trust for grandchildren?** Optional — children are adults so not critical, but could be used for capital protection.

> **Key takeaway:** Even though David's estate appeared to owe "nothing" in estate duty (abatement covered it), the estate still has a R4.9M liquidity shortfall driven mainly by the accrual claim to Sarah and CGT on non-spouse assets. Without new life cover or a buy-and-sell arrangement, assets like the holiday home or shares may need to be sold to raise cash. This is why liquidity analysis is critical — it is NOT the same as the estate duty calculation.

Key South African Court Cases

South African estate planning is heavily shaped by Constitutional Court, Supreme Court of Appeal, and High Court decisions. Each case below includes **facts** (what happened), **significance** (why it matters), and **practical implications** (how it affects planning today).

> **How to use these in an exam:** Mention the case name + year + one-line principle. e.g. "Per *Bwanya v Master 2021 ZACC 51*, permanent life partners now qualify as 'spouse' for intestate succession." That's often worth ½ to 1 full mark per case cited correctly.

Marriage & Life Partnership Cases

Bwanya v Master of the High Court [2021] ZACC 51

Facts: Ms Bwanya was in a long-term committed relationship with Mr Ruch (they lived together, shared finances, were engaged to marry). He died intestate. The Intestate Succession Act at the time only recognised married "spouses" and didn't cover unmarried life partners. Ms Bwanya had no legal claim on his estate despite their partnership. She also couldn't claim maintenance under the Maintenance of Surviving Spouses Act.

What the Constitutional Court decided: Sections of the Intestate Succession Act and Maintenance of Surviving Spouses Act were unconstitutional insofar as they excluded permanent opposite-sex life partners. The Court extended the definition of "spouse" to include **permanent opposite-sex life partners** (same-sex life partners were already covered by earlier cases).

Why it matters: Before Bwanya, if you lived with a partner for 30 years without marrying and died intestate, they got nothing. Now they have rights equivalent to a married spouse for intestate succession AND maintenance. This is a **landmark ruling** that reshaped modern estate planning for unmarried couples.

Practical limit: Life partners still do NOT have rights under the Matrimonial Property Act (no accrual system). They should still draft wills, cohabitation agreements, and nominations.

Codified by: Judicial Matters Amendment Act 15 of 2023.

Sithole v Sithole [2021] ZACC 7

Facts: Prior to the Recognition of Customary Marriages Act (RCMA) 1998, customary marriages concluded before 2 December 1988 were deemed to be OUT OF community of property by default (section 7(1) RCMA). Mrs Sithole challenged this provision as unfairly discriminatory — spouses in customary marriages had less protection than civil marriage spouses.

Decision: The Constitutional Court declared s7(1) unconstitutional. All customary marriages — WHENEVER concluded — are now deemed **in community of property** by default, unless excluded by ANC.

Why it matters: This corrected decades of inequality. Spouses (mostly women) in pre-1988 customary marriages now have automatic 50/50 rights to joint estate assets and liabilities. Applied **retrospectively**.

Practical implication: When planning an estate for someone in a customary marriage pre-2 Dec 1988, assume COP applies unless specific ANC evidence proves otherwise.

Volks NO v Robinson [2005] CC

Facts: Ms Robinson lived with Mr Shandling as life partners for 16 years without marrying. When he died, she was excluded from the definition of "spouse" under the Maintenance of Surviving Spouses Act and received nothing.

Decision at the time: The Constitutional Court held this was NOT unconstitutional — life partners had chosen not to marry and therefore didn't qualify for the protections afforded to married spouses. Was widely criticised as harsh and outdated.

Current status: Partially overruled by *Bwanya* 2021. Volks still stands for the general principle that marriage creates legal obligations life partners opted out of — but the specific exclusion from maintenance rights was reversed by Bwanya.

Why you should still know it: Shows the legal journey SA has taken on life partner rights, from denial (Volks 2005) to recognition (Bwanya 2021).

Gory v Kolver 2007 (4) SA 97 (CC)

Facts: Mr Gory was in a permanent same-sex life partnership with Mr Brooks. When Brooks died intestate before the Civil Union Act 2006, Gory was excluded from the Intestate Succession Act definition of "spouse" (only applied to married couples).

Decision: The Constitutional Court ruled that the Intestate Succession Act was unconstitutional to the extent it excluded permanent same-sex life partners. The Act was "read in" to include them.

Why it matters: First major SA case extending succession rights to unmarried partners. Established the principle that equality demands recognition of committed partnerships regardless of marriage status.

Practical point: Confirmed by *Laubscher NO v Duplan 2016* — same-sex partners are protected even though they could have married post-2006.

Laubscher NO v Duplan [2016] ZACC 44

Facts: Mr Laubscher (executor) argued that because the Civil Union Act had been enacted in 2006, same-sex couples COULD have married if they wanted — so the court's reading-in from Gory should no longer apply.

Decision: The Constitutional Court disagreed. Not all same-sex partners want to formalise via the Civil Union Act. The intestate succession rights for permanent same-sex life partners (read in from Gory) REMAIN IN FORCE.

Why it matters: Confirms same-sex life partners have intestate rights even if they chose not to marry. Paved the way for Bwanya 2021 extending this to opposite-sex partners.

Moropane v Southon [2014] JOL 32177 (SCA)

Facts: Ms Southon claimed she was married to the deceased per customary rites. The deceased's family disputed this, arguing requirements for a valid customary marriage under RCMA s3(1) weren't met.

Decision: The SCA set out the jurisdictional requirements for a valid customary marriage:

- Both prospective spouses must be 18+ years old
- Both must consent to marry each other under customary law
- Marriage must be negotiated and entered into or celebrated in accordance with customary law
- (Registration is not a validity requirement, just administrative)

Why it matters: When a customary marriage is disputed, this is the test. All four requirements must be satisfied on a balance of probabilities.

Daniels v Campbell [2003] (Muslim marriage)

Facts: Mrs Daniels was married to her late husband under Muslim rites only (not civil marriage). Her stepchildren excluded her from any share of the estate, arguing she wasn't a "spouse" for Maintenance of Surviving Spouses Act purposes.

Decision: The Constitutional Court ruled that "spouse" in the Maintenance of Surviving Spouses Act INCLUDES widows of Muslim marriages, regardless of whether polygamous.

Why it matters: Started the recognition of religious marriages in SA succession law. Muslim widows now have maintenance claim rights equivalent to civil-marriage spouses.

Hassam v Jacobs [2009] (11) BCLR 1148 (CC)

Facts: Mr Hassam had multiple wives in a polygamous Muslim marriage. When he died intestate, the surviving wives (his widows) tried to claim under the Intestate Succession Act but were excluded because monogamous civil marriage was the only form recognised.

Decision: Constitutional Court extended "spouse" under the Intestate Succession Act to include wives in polygamous Muslim marriages. Multiple wives can each claim as a "spouse".

Why it matters: Recognition of polygamous marriages in SA intestate succession law. Each spouse shares in the intestate distribution. Estate Duty Act s4A(3) also provides for abatement sharing across multiple spouses in polygamous marriages.

Moosa NO v Harneker 2017 (6) SA 425 (WCC)

Facts: Mr Moosa, in a polygamous Muslim marriage, had a will leaving bequests to beneficiaries "together with my spouse". Question was whether his second wife in a polygamous Muslim marriage qualified as "spouse" for Wills Act s2C(1) purposes (the section allowing descendants to renounce in favour of the spouse).

Decision: Yes — "surviving spouse" in Wills Act s2C(1) includes a spouse in a polygamous Muslim marriage.

Why it matters: Extended the polygamous spouse recognition from intestate succession (Hassam) to TESTATE succession (wills). Any polygamous Muslim spouse can benefit under s2C(1) if descendants renounce.

Bhe v Magistrate Khayelitsha [2005] (1) BCLR 1 (CC)

Facts: Mr Bhe died intestate. Under customary law primogeniture, the eldest male relative would inherit — excluding his two minor daughters. The children and their mother challenged this.

Decision: The Constitutional Court struck down customary law male primogeniture as unconstitutional (violated dignity and equality). Ordered that the **Intestate Succession Act 81 of 1987 applies to all South Africans**, regardless of race or cultural background.

Why it matters: Transformative judgment ending male-preference succession. Now, the Intestate Succession Act rules apply uniformly across SA. Daughters, sons, and spouses all qualify per the Act's ordinary rules.

Accrual & Matrimonial Property Cases

E v E [2019] ZAKZPHC 40

Facts: In an accrual divorce case, the wife claimed her actual commencement value was higher than the R15,000 recorded in the ANC. She produced evidence of significant assets she owned at marriage (property, savings) totalling much more.

Decision: The KZN High Court held that ANC commencement values are only **prima facie proof** — they can be rebutted by evidence of the actual commencement value. The spouse bears the onus of proving the actual value differs from the ANC figure.

Why it matters: Changed longstanding position from *Olivier v Olivier 1998* (where ANC values were treated as binding). **Overturned Olivier**. Significant for accrual calculations — if ANC values are low or nil and one spouse has evidence of a much higher actual commencement value, they can ask the court to use the actual value in the accrual calculation.

Exam tip: If a question has a spouse claiming their commencement value differs from the ANC, cite E v E and note the onus of proof is on the spouse asserting the higher value.

M v M [2020] ZASCA 48

Facts: In a divorce, the husband held a large living annuity. The wife argued his living annuity capital should be included in his estate for accrual calculation purposes. The husband argued only the income (not capital) was his.

Decision: The SCA held:

- The **CAPITAL** in a living annuity is NOT the annuitant's property for accrual purposes (it's owned by the insurer, annuitant just has a right to income)
- BUT the **right to future annuity income** IS a valuable asset and must be valued and included in the annuitant's estate for accrual

Why it matters: Clarifies the accrual treatment of living annuities at divorce. Only the income-stream value (actuarially calculated) enters the accrual — not the capital balance. This softens the impact of accrual for a retired spouse.

Practical tip: At divorce, an actuary must be engaged to value the living annuity income stream. At death, retirement benefits are excluded entirely from accrual (s37C).

Naidoo v Discovery Life [2018] JOL 39960 (SCA)

Facts: Mr Naidoo, married in community of property (COP), took out a pure risk life insurance policy and nominated his mistress (not his wife) as beneficiary. His wife discovered the policy after his death and argued that, per s15(2)(c) of the Matrimonial Property Act, his changing the beneficiary without her consent was invalid — the policy therefore should pay to her (as spouse in COP).

Decision: The SCA held that a pure risk life policy with a nominated beneficiary is NOT an asset of the joint estate during the insured's lifetime (it has no surrender value — nothing to "own" until death). Therefore, s15(2)(c) spousal consent is NOT required to change the beneficiary. The mistress kept the proceeds.

Why it matters: Resolves a major question in COP marriages: can one spouse unilaterally change beneficiaries on pure risk policies? Answer: YES. Only savings products with a surrender value (endowments, sinking funds) would require consent.

Practical point: Planners can advise COP spouses they can change risk policy beneficiaries without the other spouse's consent. This doesn't stop family disputes, but it clarifies the legal position.

Marais NO v Maposa [2020] ZASCA 23

Facts: A husband, married in COP, donated substantial assets to Maposa without his wife's consent (required under s15(2)(c) Matrimonial Property Act). The wife, via the estate, sought to void the donation. Question was whether Maposa should have known spousal consent was required.

Decision: The SCA held that a third party receiving a significant donation from a married person has a **DUTY OF ENQUIRY** to establish the donor's marital status. If they fail to enquire and take the donation at face value, the donation can be unwound and the party may be required to return the property.

Why it matters: Shifts some of the burden onto the recipient (or their attorney). Banks, purchasers, and donees dealing with married persons in large transactions must verify marital regime and obtain spousal consent.

Wills, Succession & Maintenance Cases

Louw NO v Kock 2017 (3) SA 62 (WCC)

Facts: Mr Kock and his wife Louw divorced. Mr Kock died **3½ months** after the divorce, BEFORE updating his will (which still named his ex-wife as sole heir). Under Wills Act s2B, if a testator dies within 3 MONTHS of divorce and hasn't updated the will, the ex-spouse is treated as having predeceased. But here he died just PAST the 3-month mark (by a few weeks).

Decision: The WCC applied s2B strictly — since he died MORE than 3 months after the divorce, s2B did NOT apply. The ex-wife inherited everything per the outdated will. This was harsh given the obvious intent (he would have updated if he'd lived) but the court wouldn't extend the 3-month rule.

Why it matters: Teaches a hard lesson: **update your will within 3 months of divorce**, or the statutory protection disappears. After 3 months, the law assumes your existing will (with ex-spouse included) reflects your current intentions.

Practical tip: Planners should immediately schedule a will review after any divorce notification.

Oshry NO v Feldman [2010] JOL 25900 (SCA)

Facts: Mrs Feldman (surviving spouse) claimed maintenance from her late husband's estate under the Maintenance of Surviving Spouses Act. The executor disputed the amount she claimed. She wanted continued support at the standard of living she was accustomed to during the marriage.

Decision: The SCA set out factors to consider when determining "reasonable maintenance":

- Amount available in the estate
- Existing and expected means of the surviving spouse
- Earning capacity, financial needs, and obligations
- Duration of the marriage
- Standard of living during the marriage
- Age of the surviving spouse

Why it matters: The leading authority on MSSA maintenance quantification. Whenever you encounter a maintenance claim question, cite Oshry for the factors.

Kruger NO v Goss [2010] 1 All SA 422 (SCA)

Facts: Mr Goss divorced his wife. The divorce settlement agreement ordered him to pay her **rehabilitative maintenance** (short-term support to help her become self-sufficient). He died before the maintenance period expired. His deceased estate argued the obligation died with him.

Decision: The SCA held that an ex-spouse's rehabilitative maintenance order is **NOT automatically enforceable** against the deceased estate. It only binds the estate if the settlement agreement explicitly stated it would survive his death.

Why it matters: Important for estate planners drafting divorce settlements. If a maintenance obligation is intended to continue beyond the payer's death, the settlement MUST state this explicitly.

Tax & Estate Duty Cases

Estate Late JM Klosser 63 SATC 93

Facts: Mrs Klosser inherited a usufruct over a substantial share portfolio from her late husband's estate. The portfolio produced actual annual dividend income well below the statutory presumed 12% yield. SARS wanted to value the usufruct using 12% yield; Mrs Klosser argued for the actual (lower) yield.

Decision: The Commissioner accepted that where the actual yield is demonstrably different from 12%, the real yield can be used for usufruct valuation purposes (s5(2) Estate Duty Act permits this).

Why it matters: Authority for using ACTUAL yield in usufruct valuations when 12% doesn't reflect reality. Applies to both estate duty valuations and CGT base cost calculations on ceasing usufructs.

Practical exam note: If a question gives actual yield data AND says "Commissioner accepted [X%] as reasonable", use the given yield, not 12%.

Trust Law Cases (Foundational)

Crookes v Watson 1956 AD

Facts: Trust founders tried to amend the trust deed to remove or alter existing beneficiaries' rights. Beneficiaries argued their rights had already vested and couldn't be changed unilaterally.

Decision: The Appellate Division held that once beneficiaries have ACCEPTED benefits under a trust (even tacitly), their rights are vested via the *stipulatio alteri* (contract for the benefit of a third party) principle. The trust deed CANNOT be amended to reduce or remove their rights without their consent.

Why it matters: Foundational SA trust law. Once beneficiaries accept, their rights are protected. Relevant for founder-driven amendments and estate planning scenarios where a founder tries to redirect benefits late in life.

Land and Agricultural Bank of SA v Parker 2005 (2) SA 77 (SCA)

Facts: The Parker family trust was used as a personal "piggybank" by the founder — no real separation between his personal affairs and the trust's affairs. Creditors of the founder tried to "pierce the trust veil" and access trust assets to satisfy his debts.

Decision: The SCA established that where a trust is a mere "alter ego" of its founder (no real separation of control, no arm's length dealings, founder treats trust assets as own), courts can DISREGARD the trust as a separate entity. Creditors can then access trust assets as if they were the founder's personal assets.

Why it matters: Warning to planners about "sham trusts". If you set up a trust but continue treating its assets as your own (transferring at will, no proper trustee resolutions, no separate bank account), it may be pierced. Essential for **asset protection** — trusts only work if properly administered.

Exam Tip — Which Cases To Memorise:

- **Top 5 most-examined:** Bwanya, Sithole, E v E, M v M, Naidoo v Discovery Life
- **Essential foundations:** Crookes v Watson, Land Bank v Parker (trusts); Bhe (uniform intestate rules)
- **Useful supporting cases:** Daniels, Hassam, Moosa (religious marriages); Oshry (maintenance factors); Louw NO v Kock (s2B strict application)

Remember: for full marks in a case citation, include: (1) case name, (2) year and citation where known, (3) court (ZACC / SCA / WCC etc.), (4) one-line principle, (5) apply it to the facts in the scenario.

Complete Citation Reference Table

CASE	FULL CITATION	TOPIC AREA
Bwanya v Master of the HC	2021 ZACC 51	Life partner rights
Sithole v Sithole	2021 ZACC 7	Customary marriages
Volks NO v Robinson	2005 (5) BCLR 446 (CC)	Life partners (now overruled)
Gory v Kolver	2007 (4) SA 97 (CC)	Same-sex life partners
Laubscher NO v Duplan	2017 (2) SA 264 (CC)	Same-sex life partners reaffirmed
Moropane v Southon	2014 JOL 32177 (SCA)	Customary marriage validity
Daniels v Campbell	2004 (5) SA 331 (CC)	Muslim marriage / maintenance
Hassam v Jacobs	2009 (11) BCLR 1148 (CC)	Polygamous Muslim / intestate
Moosa NO v Harneker	2017 (6) SA 425 (WCC)	Polygamous Muslim / wills
Bhe v Magistrate Khayelitsha	2005 (1) BCLR 1 (CC)	Uniform intestate rules

CASE	FULL CITATION	TOPIC AREA
E v E	2019 ZAKZPHC 40	ANC commencement rebuttable
M v M	2020 ZASCA 48	Living annuity in accrual
Naidoo v Discovery Life	2018 JOL 39960 (SCA)	COP consent on risk policies
Marais NO v Maposa	2020 ZASCA 23	Duty of enquiry on COP donations
Louw NO v Kock	2017 (3) SA 62 (WCC)	Wills Act s2B strict application
Oshry NO v Feldman	2010 JOL 25900 (SCA)	Maintenance factors
Kruger NO v Goss	2010 (1) All SA 422 (SCA)	Rehabilitative maintenance on death
Estate Late JM Klosser	63 SATC 93	Usufruct real-yield valuation
Crookes v Watson	1956 (1) SA 277 (A)	Trust beneficiary rights vested
Land and Agricultural Bank v Parker	2005 (2) SA 77 (SCA)	Sham trust / alter ego